CHAPTER ONE

MANAGEMENT- AN OVER VIEW

1.1 INTRODUCTION

Is management necessary? Why? What does a manager actually do? What are some of the characteristics of the field of management? These are the questions that beginning student of management often asks. To answer some of these concerns, dear student, just look at your self. You are a manager of your time, energy, and talents. The decisions you make each day in these three areas will have a far-reaching influence on your career, your life and the lives of others.

Think of your self getting up on the morning you must decisions at once: You must plan what you want to accomplish during the day, organize the resources to achieve your plan and periodically check on those activities to see if your plan is being achieved. Realizing it or not, you are performing three of the management function – planning, organizing and controlling. This is simply to show you how the task of managing is performed in our day-to day life. There fore, this chapter is designed to introduce you with the meaning, features, significance, function and roles of management in general.

Chapter Objective

After completing the chapter, you should be able to;

- Explain the different meanings and definitions of management.
- Describe the significance of management
- Discuss why management is both an art and a science
- Identify the different classifications of management
- Identify the five basic managerial functions and describe their relationships
- Describe the roles managers play and skills they need
- Identify the difference between Administration and management

1.1.1 Definitions of Management

It is impossible to provide a single, comprehensive, universally accepted definition of management, the different orientations about the definition of management is because:

i. Management has various aspects, that all of which can not be represented by a single definition

ii. The theorists who gave the definitions has different areas of interest or training, they all defined management form their perspective (engineering, sociology, psychology mathematics, etc.

iii. Management as a discipline is young and there is a lick of clarity of concepts and principles

Despite all the above reasons for different definitions, the definitions are not contradictory or mutually exclusive. Management is the synthesis of all the definitions given by different theorists.

The following are some of the different definitions given by different scholars of management:

i. Management is the art of getting things done through and with people in a formally organized group.

ii. Management is the art of knowing what you want to do in the best and cheapest way.

iii. Management is the process of planning, organizing, staffing, directing and controlling. The uses of a farm's resources to effectively and economically attain its objectives.

iv. Management may be defined as the art of securing maximum result with a minimum of efforts so as to secure maximum prosperity and happiness for both the employer and employee and give the public the best possible service.

v. Management is the process of working with and thought others to effectively achieve the organization in a changing environment.

1.2. Feature of Management

Every field of study should have its own features those distinct from other. Management as a separate field of study has also its distinctive characteristics.

1. 1. Organized activity: When a group of people come together to achieve a common objective or objectives, they need to coordinate& cooperate among each other & this is organized activity.
2. Existence of objectives. Without objectives no organization is complete.
3. Relationship among resources. Integration of various resources; money, machinery, materials & men. The most important resource is man, which can create this integration.
4. Working with and through people. Management involves working with people, and also commanding, directing and controlling their activities.
5. Decision making is one of the most important activities in management and it involves selecting the best alternative among many.

6. Human Activity. Managers will never be substituted by substituted by technological advancement. However the work of management is evolved through the contribution of different disciplines including psychology, sociology, law, economics, mathematics, and so on

Universality of Management

What do we mean universal? Universality of management is the applicability of the principles of management in all types of organization and in all the different countries of the world.

I .Argument against

a. The persons arguing against the concept of universality of management say that management is culture bound. Culture means the attitudes, values, and beliefs of a society. The cultures of different societies are different and also the organizational cultures of the various organizations are not similar. When there is this difference in cultures the principles or techniques of management will not have the same result, hence, management is not universal.

   For example, in a country with strong tradition, religion and culture, introduction of modern management methods become difficult.

b. Objectives of different organizations will be different and these objectives dictate the kind of managerial practices followed in these organizations. Thus we cannot call management as universal. Ex. The objectives of the Red Cross and Bahir Dar textile factory are different and the techniques of management followed in these organizations are also different.

c. Philosophy is the attitude towards certain activity or the way one looks at life. Differences in the management philosophies have a profound impact on the managerial practices of the organization. If the philosophy of the top management is to make as much profit as possible, then the managerial practices of the organization will be different form the organization whose philosophy is service to the society.

II Arguments for

Researchers had conducted various studies carried out in different organization and in different countries to formulate these arguments, which support the concept of universality of management.

a) Management as a process or the various elements of management like planning, organizing staffing, directing and controlling are common for all organizations, through out the world.

b) Management Fundamentals and Techniques /Practices may differ from organization to organization and from country to country but the fundamental concept of management is the same through out. Universality means that fundamentals are the same through our the world, but the techniques to achieve/fulfill this fundamental may be different

III Conclusion

Back of the management theories have come from one country, i.e. USA and have been used successfully in different countries with different cultures. This shows that management is universal when it adapts a little.

1.3. Management as an Art or Science

The question whether management is an art or a science has been an issue of debate of a long period of time. Science may be defined as a systematized knowledge derived from observation, study, and experimentation carried on in order determining the nature and principles of the subject under study, since management has a structured body of knowledge with its own distinct concepts and principles that are developed with reference to the general truths underlying the management practice, management is a science.

Although we recognized management as a science, it is not as comprehensive or as exact as the other sciences such as physical sciences. This is because the variables with which managers deal are complex and management mostly deals with the human elements. Human beings are not standardized and their behavior is unpredictable. As a result experiments cannot be repeated under standardized conditions. They cannot be subject of controlled laboratory experiment.

Art is the application of knowledge that constitutes the science. As explained by Chester I. Bernard it is the function of the science to explain the phenomena.

1.4 Types of Management

Based on hierarchy/levels management can be grouped in to three levels. These are:

Top-Level Management – Top – Level management includes that of board of directs executive committee, and chief executive, or president, or general manger, etc. of an organization.

Function of top managements includes;

- ✓ Establishing broad objectives
- ✓ Designing major strategies
- ✓ Outlining principle policies
- ✓ Providing effective organizational structure that insures integration,
- ✓ Proving over all leadership and direction
- ✓ Making overall control of the organization
- ✓ Dealing with external parties such as the government, community, business etc, by representing the organization and
- ✓ Analyzing the change in the external environmental and response to it

Middle –Level Management- These managers include heads of the different functional area and their assistants: divisional heads, departmental mangers, section heads, plants mangers, branch, managers etc. Manages in this level are specialists and their activities are limited to a particular area of operation or to a section or department. Middle level managers direct the activities of lower level managers and some times extends to supervision of operating employees. They balance the demand of top, managers and the capacity of lower level managers.

First line mangers (Lower-Level managers) - are responsible for the work of operation employees and do not supervise other managers. Their tasks include planning of day to day work, assignment of jobs, keeping a watch on workers performance, sending reports and statements to middle level managers, evaluating workers and marinating close contract with workers.

Functional and General Managers

Dear student, if you remind the tasks of your supervisor either functional or general manager. Managers are also classified based on the scope of the activities they manage into functional and general managers.

Functional managers

Functional managers supervise with specialized skills in a single area of operation, such as accounting, personnel, finance, marketing and production. All these functions are necessary for the success of t he organization.

General Managers

General Managers are responsible for t he over all operation of a more complex unit, such as a company or a division. General mangers hold functional managements accountable for their specialized area as and usually coordinate two or more departments. In their jobs,

general managers have to deal with major uncertainties, great diversity, and a larger volume of information.

1.5 Role and skills of Managers

What skills are necessary for managers? Ask your self if you acquire the required skills to be managers.

In a general discussion of management such as this, it is useful to describe what skills are necessary to operate successfully as a manager. Skill is the ability to do something expertly and well. It is meant ability related to performance that is not necessarily in both but which can be developed /acquired. Managerial skills can be classified in to four distinct categories; technical, interpersonal/human relation, communication and conceptual skills. However in practice the skills are closely related and it may be difficult to tell where one begins and the others ends.

Technical Skills

Involve the ability to apply specific methods, procedures, and techniques in a specialized field. It is easy to visualize the technical skills of design engineers, market researches, accountants, musicians, and computer programmer. If the manager lacks these skills, he will not be able to make correct decisions or answer employee's questions

Human skill (interpersonal skills)

The ability f o work with employee peers; to motivate subordinate, to understand other and to be understood by others.

Communication Skills

It includes effective oral and written communication, ability to resolve compliers, development of cooperation and motivating employee. The manager should be able to resent clearly his viewpoints, extracting information from the others, and arriving at mutually acceptable agreement. This skill is equally important to managers at all levels.

Conceptual skill

It involves the ability to view the organization as a whole and recognize its relationships to the large environment. In other words, conceptual skill involves visualizing the different parts of an organization as one big whole and or understands the whole's interaction with its relevant environment. More specifically

- How the organization's various and functional depend on each other and thus, how changes in one area can affect other areas.

- How each part contributes to the achievement of the overall organizational goal.

Managers with conceptual skill understand all activities, and interests of the organization and how they interrelate

This skill is highly important to top-level managers.

- The relationship between managerial levels and managerial skills

Please discuss the relative importance of skill to the three levels of managers. What managerial skill is more important to which level of management? Why?

Managerial Roles

Managers perform the basic managerial functions by playing a variety of managerial roles. A role is an organization set of behavior or action expected from some position holder. Henry Mintzberg studied a verity of managerial jobs and attired at the ten most common roles of top managers.

The ten roles are classified in to three categories: Inter personal roles, information roles, and decisional roles.

1. Inter personal roles- refers activities that involve interacting with others who may be external or internal to the organization and at a higher or lower level than the manager. This includes:

- **Figurehead**-describes the formal activities in which the manager acts as a public official for the company. The manager represents the organization at the ceremonial and symbolic functions. It is the most basic and the simplest of all managerial roles. The president who greats a touring dignitary, the mayor who presents a key to the city to a local hero, the supervisor who attends the wedding of the clerk, the sales manager who takes an important customer to lunch, all are performing ceremonial duties important to the organization's image and success. While these duties may not seem important, they are expected of managers. They symbolize management's concern for employees' customers and the community.
- **Leadership-** involves responsibility for directing and co-coordinating the activities of subordinates in order to accomplish objectives. Some aspects of the leadership role have to do with staffing hiring promoting. Other aspects involve motivating subordinates to meet the organization's needs. Still other aspects relate to creating a vision that company employees can identify with.
- **Liaison role-** The manager interacts with peers outside of the organization such as clients, government officials, customers, and suppliers. It also refers to dealing with

managers in other departments, staff specialists, and other departments' employees. In the liaison role, the manger seeks support from people who can affect the department's and the organization's success. This role is therefore, composed of a net work of relation ships.

2.Informational Roles

Managers should first build networks of contracts for exchanging information. Many contracts made while performing figureheads and liaison roles five mangers access to a great deal of important information. There fore, informational roles are activities that focus on obtaining and disseminating data important for the decisions the manger needs to make. This role includes:

a/ **Monitor (Never center) -** A manager seeks information to detect problems of opportunities, build general knowledge about the work situation, and make necessary changes. While much of this information comes from formal mechanisms such as reports, news media, and public forecasts, more comes from informal conversations with both organizational members and those external to the organization, since managers gather information, they must evaluate and decide whether to use this information.

b/ Disseminator- the manager sends information from external sources to various parts of the work group and information from internal sources to others both internal and external to the organization.

c/ **Spokesperson role** – the management provides information about the work group to those out side the group. The manager will provide information to public, which includes customer, suppliers, trade organizations, government agencies, consumer groups, and the press, Managers used information make decisions about when and how t o commit heir organization to new objectives and actions.

3. Decisional Roles

These are activities that deal primary with the allocation of resources in order to reach organizational objectives. Decisional roles are perhaps the most important of the three categories of roles.

a. **Entrepreneurial Roles: -** the management acts as the initiator and designer or changes with in the work group to improve organization position. These changes may be in employee skills, work redesign, information reports, and goods or services provided. Managers play this role when they initiate new projects, launce a survey, test a new marker or enter a new business.

b. **Disturbance handler:** - deals with change forced on the manager by other factors. The management acts because it is –necessity a disturbance occurs and a solution must be found. There are three types of disturbances; conflicts among individuals international difficulties between one unit and another, and conflicts over resource losses, breaking of contracts by customers, strikes by labor and bankruptcy of major suppliers.

c. **Resource allocator:** - Which both protects and uses the unit's assets: money, time material and equipment, human resources, data reputation.

d. **Negotiator:** focuses on reaching an agreement with other outside of the workgroup on work related issues or materials, such a slab labour union contracts and leasing agreements concerning machinery and vehicles. This role includes agreements with other units with in the organization.

1.6. Functions of Management

Have you ever confused between the function of managers and non-managers? We hope your confusion will be removed after reading and understanding this section.

Scholars in the field of management have their own classification of functions of management some scholars add few functions and delete some other function s. The important functions management is briefly discussed below detail discussions will be made on the latter chapters.

1. **Planning**

Planning is the primary function of management. Nothing can be preformed with out planning. In the business world, the organization should achieve the objectives. In order to achieve objective, the organization plans what is to be done, when it is to be done, how it is to be done, and by whom it is to be done. As George R.Terry pointed out planning is a constructive reviewing of future needs so that present actions can be adjusted in view of the established goal.

2. **Organizing**

Organizing as a management functions is concerned with (1) assembling the resources necessary to achieve the organization's objectives and (2) establishing the activity- authority relationship of the organization. It is function dealing about building the framework (Skeleton) of the future organization to achieve objective. Planning has established the goals of the company and how they are to be achieved; now, organizing develops the structure to reach these goals.

The activities necessary to achieve the objectives are grouped in to working divisions, department, or other identifiable units and primarily by grouping similar and related duties. The result is a network of interdependent units. Each unit or person in the unit should have clearly defined role responsibility, authority and list of duties. Authority and reporting relationship among different units and positions are clearly stated.

3. **Staffing**

Staffing is concerned with locating prospective employees to fill the jobs created by the organizing process. It involves the recruitment, selection, development, and retention employees with appropriate qualification for positions created. It is one of the most important duties of managers because successes of organization depend on the quality of its employees.

4. **Leading /Directing**

Directing is aimed at getting the members of t he organization to move in the direction that will achieve its objectives. Leadership is the heart and soul of management. To be effective leaders/managers need understand individual and group behavior, techniques of motivation, and effective styles of leadership.

5. **Controlling**

Controlling deals with establishing standards for performance, against established standards, to determine when problems do exist, and to solve the problems that occur as quickly and effectively as possible, controlling depends on accurate, reliable and enforceable standards and on monitoring performances by people, machines, and processes. The best control sure that work is performed to standards as planned.

1.7. Administration and Management

The terms administration and management are used synonymously. Some writers argue that both these terms have same meanings and there is not difference between these two terms. Running of a business requires skill, which is called management, and functioning of government departments and non-profit institutions requiring skill is called administration.

Some writers a argue that executive functions of business unit are referred as management and executives functions of other institutions are referee as administration In this way, administration distinguished as a top level. Function while management is a lower level function. Policy and objectives of a business are determined by the top-level executives (Administration). At the same time, the lower level people (management) work to attain the objectives of the business unit and follow the policy framed by the administrations.

As Oliver Sheldon stated, administration is he function in industry concerned with the `qq`1q`determination of the corporate policy, the co-ordination of finance, production and distribution, the settlement of the compass (structure) of he organization under the ultimate control of the executive. However, management is industry concerned with the execution of policy with in the limits set up by the administration and the employment of the organization for the particular objects set before it.

Summary

It is impossible to provide single, comprehensive, universally accepted definition of management.

- Management is the process of maximizing the potential of an organization's people and coordinating their efforts to attain predetermined goals. Essentially the practice of management involves co-coordinating and utilizing human and non human resources in the purist of such goals.
- It can be concluded that management is both science and art. Management can apply the scientific method of enquiry as well as subjective judgments like an art.
- Certain skills are essential to successful management. They can be classified as technology interpersonal, communication, and conceptual. The relative importance of most of this skill differs across the three level of management. A successful manger does not role on a single managerial skill, rather a combination of skills.
- Certain types of roles are essential for performance and to enable manger to respond to the eternal environment that influences organizations. Managers play ten roles that fall in to three areas. Interpersonal (figurehead, leader, and liaison roles), Information (monitor, disseminator, and spokesperson roles) decision entrepreneur, disturbance handler, resource allocator, and negation roles).
- All managers, regardless of their position and type, perform five basic functions: Planning, organizing staffing, leading and controlling.

CHAPTER - TWO

THE DEVELOPMENT OF MANAGEMENT THOUGHTS / THEORIES

Value of Theory

- A theory is a part of an art or science that attempts to explain the relationships between its underlying principles.
- Theories give people a reason for doing things one way rather than another.
- They may not provide all the answers, rather theories encourage us to keep learning.

1. **Ancient History / Early influences**

- Graphic records from ancient times-the Egyptian tomb paints and Babylonian clay tablets-record how early civilizations thought about management and how they managed their affaires.
- Management began when the earliest humans banded together in clans and tribes.
- Their survival depended on effective hunting and gathering, such activities needed both skilled individuals and cooperative efforts.
- In time strong individuals with the ability to manage emerged with in each community to takeover the management of specialized tasks and of the community as a whole.

The recorded management began 5000 BC during the agricultural civilization of India, Egypt and china. As early as 4000BC, Egyptians were aware of the importance of planning, Organizing and controlling. The management and coordination in the construction of Egyptian Pyramid is also a basic example.

The peculiar features of management before the era of industrial revolution included traditional planning, limited size and simple operations, personal leadership and social prestige. Industrial revolution in the 1700's played great role for the real development of management. During industrial revolution: Division of labor (Specialization), standardization (producing identical goods in large quantity), maximization (maximum return on investment of capital, time and labor) and centralization (decisions made by top managers) were some of the management principles that were established.

Schools of Management Thought/Theories

Like all social sciences, Managements is inexact. There is no single approach to understand management satisfactorily. So it is advisable to see different approaches/ theories of management. There are three broad classes of management theories:

1. Classical Theories
2. Behavioral theories
3. The modern theories

1. Classical Thought/Approach

This approach is primarily based up on the economic rationality of all employees. That is people are motivated to work by economic incentive. Classical management theory consists of three streams (branches) of thought. These are:

1. The scientific management theory
2. The administrative management theory
3. The bureaucratic management theory

1.1. The scientific management theory

Frederic Taylor was the first and major contributor of scientific management. He has been called "the father of scientific management".

He contributed to the field by conducting time and motion study and by recording his knowledge of management. Taylor believed that there is "one best way" to perform any task and his objective is to increase productivity by finding that best way (efficient in production) and then to train workers to do it that way.

In addition to increasing efficiency, Taylor believed that increasing workers pay is a means of improving productivity. To achieve his objective, Taylor introduced the concept of differential piece work plan for payments of wages. For this purpose two types of pay standards were established.

A) The standard rate-pay made for workers who meet a certain production rate

B) Above the standard rate (higher piece rate) pay made for workers who produce more than the standard.

Thus workers will be motivated to produce above the standard to get more payment and productivity will be increased. Finally Taylor set the following basic principles.

1. Traditional management (rule of thumb or guess work) should be replaced by scientific system.
2. Management should improve methods of work and standardize the methods.
3. Workers should be scientifically selected, placed, and trained in the selected and standardized methods of work.
4. There should be cooperation between management and labor.

5. There should be division of work responsibilities between management and workers. Managers plan and organize the work and workers implement it.

6. Mental revolution is necessary with in the minds of workers and managers to apply all these principles.

Assessing Scientific Management

Scientific management was successful in increasing productivity and consequently increasing the wealth that improved living standard of the workers. The proponents (followers) of scientific management believe that workers are motivated primarily by a desire to earn money to satisfy their economic and physical needs. However, they failed that workers have social needs and that working conditions and job satisfactions are often equally important.

1.2. Administrative Management Theory

Administrative theory (some times called functional or process approach) was developed by Henery Fayol. He believed that management activities at the upper levels are more significant than other levels.

The early scientific management brought may successes at lower levels of the organization. However as out put increased and operations grew, organizations began to be confronted with new management problems. Planning and coordinating operations become much more important than even before, and the organization of people in the work-place become a focal point for consideration. The individuals who were interested in dealing with this problem began to formulate theories of administration (how to administer), Henery Fayol being the primary contributor.

In particular, Fayol was concerned about the fact that different abilities were needed as one move up the management ranks. At the lower levels an individual required greater technical skill in order to supervise workers effectively. At the upper levels the individual requires administrative ability in order to get things done through other people.

Fayol's experience leads him to conclude that there are five basic functions/elements of administration.

1. Planning - Formulating objectives and operating programs
2. Organizing -Coordination of resources for accomplishing the predetermined objectives.
3. Commanding - Leading effectively
4. Coordinating -orderly arrangement of group efforts to provide unity of action
5. Controlling - Checking that everything was done according to the plan.

Fayol also developed the following 14 general administrative principles.

1. Division of work. Workers are given only a small element of work to do, in which they will Specialize. Division of work/ specialization increases efficiency.
2. Authority & Responsibility:-
3. Authority - is the right to command to get the work done, whereas responsibility is the obligation or duty to carryout assigned tasks and to use authority. Authority should always be equal to responsibility.
4. Discipline: Obedience to organizational regulations, rules, statements of policies and
5. employment agreements.
6. Unity of Command: Each employee must receive instruction/ command about job only from one person in order to avoid conflicting instructions and the resulting confusion. Everyone should have only one superior.
7. Unity of Direction: - Each work groups or departments should operate under one plan for each group of activities having the same objectives.
8. Subordination of Individual's interest to organizational interest. The interest of individual employees should not have priority over the interest of the organization as a whole. The interest of the organization should be satisfied before satisfying the individual interest.
9. Remuneration of staff: - All employees should be fairly paid with appropriate additional incentive for additional efforts.
10. Centralization and decentralization: While some authority should be given to the subordinates to make decision all major policy decisions should be made at the top management level. The extent to which authority is centralized (decision made by top managers) or decentralized (giving authority to decide to subordinates) depends on the situation and includes such factors as the nature of the task and the abilities of subordinates.
11. The scalar chain (line of authority): The communication should follow a single uninterrupted chain of authority (often presented by the neat boxes and lines of an organization chart) from rank to rank from top management to the lowest level position in an organization. However, this proved to be very time-consuming, incase

where people in different departments but at the same level of hierarchy, need to communicate with each other. Fayol solved this problem by introducing the "Gang Plank Policy," where such people could communicate with each other directly, but with the permission of their superiors.

12. Order:- Materials and people should be placed in the right place at the right time. In particular people should be in the jobs or positions best suited to them to increase efficiency.
13. Equity:- Managers should be both fair and friendly to the subordinates.
14. Stability of staff /personnel:- Avoiding unnecessary rate of employee turnover and long term commitment should be encouraged. It results in a sense of belongingness to the organization, which creates dedication and better outputs.
15. Initiative Subordinate should be encouraged to generate new ideas, formulate and carrying out their plans. This creates belongingness and motivation.
16. Esprit de Corps: - There should be team sprit harmony/ and cooperation between employees. This unity creates strength. Management should encourage this team sprite.

Assessing the administrative Management

The classical administrative management theory focuses on managers and their actions rather than an overall structure or work. Like scientific management, administrative management is oriented toward increasing production but in different way at higher level.

Today we tend to avoid thinking in terms of universal principles, rather in terms of unique demands of each situation. Principles are essential to the practice of management, if they provide flexibility to make situational adaptations.

1.3. The bureaucratic theory (Max Weber 1864-1920)

Weber was a sociologist who felt responsibility to improve organizational performance. As an advocate of bureaucratic organization, he was concerned on how the overall structure of an organization influences managerial effectiveness. Thus, the focus of bureaucratic management is on improving organizational structure. An organization's structure consists of its positions and their relationship, including such factors as organizational objectives, policies, procedures and operating systems.

For the bureaucratic theory the source of power is the rational-legal authority (the right to exercise authority based on position), that is where acceptance arises out of the office or

position of the person in authority as bounded by the rules and procedures of the organization.

Characteristics of Bureaucratic theory

1. Formal system of rules: formal guidelines for the behavior of all employees while they are on the job. Considered positively, rules can help provide discipline in an organization. Adherence to the rules ensures uniformity of procedures and operations and helps to maintain organizational stability. It results in consistency in behavior.
2. Impersonality: maintaining impersonal relationship between organizational members, reliance on rules and evaluation employees according to these rules and objective data.
3. Vertical Structure: ranks jobs according to the amount of power and authority given to each position within the organization. It makes clear to each employee exactly where he or she stands in relation to every other employee.
4. Division of labor: the process of dividing duties into simpler, more specialized tasks to promote efficiency.
5. Authority structure determines the rights to make decisions of varying importance at different levels within the organization.
6. Life-long career commitment: the job security is guaranteed as long as the employee is technically qualified and performs satisfactorily. It ensures educational and experience based employment and promotion. Bureaucratic organizations, such as the civil service, often relay on the results of written and oral exams, amount of formal education and previous work experience to determine management rank.
7. Rationality-running the origination logically and scientifically.
8. Written records. The successful and continuous operation depends to a large extent up on written records. It is relatively continuous in operation.

Advantages/Functions of Bureaucracy

a. Since rules and procedures are applicable to all, making the management process easier to implement.
b. The overlapping and conflicting of job duties are eliminated.
c. Hiring and promotions are based on merit and expertise.
d. The division of labor makes the workers specialists.
e. The organization continues, even if the individuals leave position.

Dysfunctions/ Disadvantage/drawbacks of Bureaucracy

a) There is too much red-tape and paper work

b) Excessive adherence to the rules and regulations. Employees are treated like machines and not like human beiges.

c) Employees become resistant to change and new ideas because they are bounded by formal rules.

d) It overlooked the impact or influence of behavioral factors and the role of informal organization over formal organization

Generally the expected benefits of bureaucratic management are efficiency and consistency.

A bureaucracy functions best when many routines tasks need to be done.

Bureaucratic management is most appropriate for routine organizational activities where productivity is the major objective. But it is not appropriate for the highly flexible organization which faces many non-routine activities where creativity and innovations are important.

In the dynamic society the innovative, creative organization is becoming the rule rather than the exception.

Critiques on the classical theories and principles of organization and management

- They regarded the human resources as an inert object (instrument). They gave inadequate attention to human factors: rather, they gave prior concern for efficiency and productivity. They did not deal with the informal or social relation ships and psychological aspects of work. They did not deal with the informal or social relation ships and psychological aspects of work. They emphasized with formal aspect of the organization.
- Classical management theory concentrated on internal aspects of management like work measurement, efficiency and effective organization structure. It disregarded the influence of external environment on internal organizations.

2. Neo-Classical theories: The Behavioral Management Theory

The proponents of behavioral school recognized employees as individuals with concrete human needs, as part of work groups, and as members of a large society. Employees are assets that can be developed not nameless robots expected to follow orders blindly.

The different theorists who had concern for people in the work environment organizations are given below.

2.1. Robert Own (1771-1858)

He is considered as the father of modern personnel management. He asserted that the quality and quantity of workers' out put were influenced by conditions both on and off the job.

2.2. George Elton Mayo (1880-1949)

Mayo and his associates were primarily concerned with the link between the psychological aspects of work and productivity, or more specifically the effect of working conditions on productivity.

The prominent work of Mayo is the Hawthorne (1924-1933) plant experiment conducted in Western Electric Company near Chicago.

The research was carried in three phases:

Phase one: Relation between productivity of labour and physical working environment: here an increase in the intensity of light was made on a certain work group. However, the degree of influence of the change of the physical-working environment on productivity was not much strong.

Phase two: Relationship between productivity of labour and the individual participant's attitude at his/here work. In this new phase, a small group of workers was placed in a separate placed and a number of variables were changed: wages increased, rest periods of varying lengths were introduced, the work day and work week were shortened. the groups were increased, rest periods of varying lengths were introduced, the work day and work week were shortened. The groups were also allowed to choose their own rest periods and to have a say in the suggested changes. Again results were not clear. Then, it was concluded that financial incentives were not causing the productivity improvements.

Phase three: Relation between productivity of labour and small informal group.

The interaction of small informal groups and the collective attitude of these groups and individuals toward the job was observed. It was recognized that the cognitive style and value judgment of an employee is determined by his/her interaction with other members. It was concluded that, if the existence of the small informal groups and their interest is recognized it would result good organizational performance. The above studies heightened management's awareness of the social needs of workers and showed how an organization's social environment influenced productivity.

Finally, the conclusions of Mayo and his Associates were:

1. Employees are essentially social beings not merely natural economic beings.

2. As social beings, employees are members of groups. Thus, managers should always relate to individuals with full awareness of the nature of groups and their influence on individual behavior.
3. Managers using good human relations will achieve productivity.

1.4. Abraham Maslow's Hierarchy of Needs

A humanistic psychologist, teacher and practicing manager-developed a need-based theory of motivation. Maslow's theory is now considered central to understanding human motivations and behavior.

In 1943, in an article for psychological Review-"A theory of human motivation," Maslow identified and analyzed five basic needs which he believed underlay all human behavior.

These needs relate to:

a. Physiology-the need for food water, air and sex.
b. Security-the need for safety
c. Social or affiliation-the need for friendship, interaction and love.
d. Esteem-the need to be respected and to get recognition
e. Self-actualization-the ability to reach one's potentials

Maslow's theory is based on the following:

a. Only unsatisfied need can influence behavior: a satisfied need is not a motivator.
b. a person's needs are arranged in a priority order of importance
c. A person will at least minimally satisfy each level of need before feeling the need at the next level
d. 4. If need satisfaction is not maintained at any level, the unsatisfied need will become a priority once again. For example, for a person who is presently feeling social needs, safety will become a priority once again if he or she is fired. Abraham Maslow's hierarchy of human needs (Figure)

2.4. Douglas McGregor

In his 1960 publication, "The Human Side of Enterprise," McGregor explained that all earlier managers operated from one or two basic assumptions about human behavior: Theory X and Theory Y.

- The first theory (Theory-X), viewed workers as being lazy and needing to be coerced, controlled and directed.

- The second (Theory-Y) described people as McGregor thought them to be: responsible, willing to learn and given the proper initiatives, inherently motivated to exercise ingenuity and creativity.

McGregor told managers that if they give employees a chance to contribute and to take control and responsibility, they would do so (McGregor 1960

The focus of behavioral approach extends from the study of individual behavior on the one hand, to the study of large groups and organizations on the other. Three of the broadly based areas of interest for behavioral scientists are individual behavior, group behavior and organization development.

The behavioral approach uses the concepts of psychology, sociology, anthropology, and other behavioral theories to assist managers in understanding human behavior in the work environment. The emphasis of the behavioral approach focuses on the interrelationships between people, work, and an organization. It also concentrates on such topic as motivation communication, leadership and work group formation which can assist managers with the people aspects of their jobs.

3. The Modern Management Theories/Contemporary Approach

It includes three approaches:

a/ Quantitative approaches

b/ System approach

c/ Contingency (situational approach)

3.1. Quantitative Management Theory (management Science Approach)

- The theorist of management science view managing primarily as mathematical process, concepts, symbols and models.
- Their belief is that managing or organizing, planning, or decision making is logical process: it can be expressed in mathematical symbols and relationships.
- The techniques of management science are well-established parts of the problem solving weapon of most large organizations.
- The techniques are used in such activities as production scheduling, development of product strategies, planning of human resource development programs, linear programming, computers, maintenance of optimum inventory levels, etc.
- Thus the central idea of management science (quantitative) approach is the practice of scientific method and the application of mathematics, statistics and

other quantitative techniques to management decision making and problem solving.

The essence of quantitative management approach is found in the following characteristics:

1. Managerial decision making and problem solving,
2. Based on economic decision criteria-such as costs, revenues and rate of return on investment,
3. Use of formal mathematical models- Possible solutions to problems are specified as mathematical equations and the analyzed according to mathematical rules and formulas.
4. Frequent use of computers- heavy reliance is placed on electronic computers and their advanced processing capabilities.

Limitations

1. Some managers complain that the concepts and language of management sciences are too complicated for ready understanding and implementation.
2. It fails to address psychological and behavioral components of work place activities-variables, which may not be quantifiable.

3.2. The Management System (Systems Approach)

The systems view is recently developed concept of management. When this concept is applied to organization and management studies it help to ties all so for developed facts of organization and management and provide very integrated approach to managers.

The systems approach views the entire organization as an integrate functioning organization as a dynamic structure in which every part interacts to produce a whole, as an open system which depends on the environment for its inputs and out puts. As an open system, the organization depends for its input such as labor and materials, and outputs such as products and services on the external environment. For this reason, the systems view gives managers a way of looking an organization as a whole and as a part of the larger external environment.

The organizational system comprises interacting components known as subsystems such as the information, the management and technical subsystems. The activity of any subsystem of an organization in varying degree affects the activity of every subsystems and thereby the activity of the whole organizational system. Each subsystem has to strive for the attainment of the objectives of the organization depends on the collective effort of these subsystems.

3.3 The Contingency Approach

Contingency theory represents another alternative managerial theoretical paradigm. Similar to systems theory, contingency theory does not prescribe the application of certain management principles to any situation. Contingency theory is a recognition of the extreme importance of individual manager performance in any given situation.

The basic idea of contingency theory was that there is no one best way of doing or managing things. Because every organization is unique, exciting in a unique environment, with unique employees and unique goals. It rests on the extent of manager power and control over a situation and the degree of uncertainty in any given situation.

The role of management in the contingency approach is to develop an appropriate management solution for any given organizational environment. The contingency approach is devoid of management principles. It is a heuristic management paradigm highly dependent on the experience and judgment of the manager in a given organizational environment. It is principally directed at the management practitioner seeking to control a distinct organizational environment

CHAPTER THREE

THE PLANNING FUNCTOIN

3.1. Nature and purpose of planning

Every human activity is undertaken to achieve something following planning. Since man is gifted with the power of reasoning, he rarely does anything without weighing the consequences of his action.

Planning is an activity, which is performed before any action is taken. All the actions we take are based on the plan.

Planning is the primary function of management & it is to attain the objectives of the enterprise. Planning is important not only in the beginning but throughout the operations.

3.1.1 What is planning?

Planning has as many definitions as management, which many authors gave to it. However, these definitions are mutually supportive or complementary to each other.

-Planning is the process by which managers set objectives, assess the future, & develop courses of action to accomplish these objectives.

-Planning is the process of preparing for change coping, with uncertainty by formulating future courses of action.

-planning is deciding in advance about some thing on what to do, how to do it, when to do it and who is to do it.

Thus, it is clear from the various definitions given above that planning involves two things.

i. Determining the aims and objectives

ii. Selecting the best course of action to realize the plan/objective on the bases of past experience present facts and circumstances and future possibilities

3.1.2 Nature/ characteristics of planning

i. **The primacy of planning:** The primacy in planning means that the function of planning precedes all other managerial functions. Since the other management functions are performed to facilitate the achievement of goals that are set in planning process, planning logically precedes all other managerial functions.

Although in practice all the managerial functions inter-match as a single system of action, planning is unique in that it establishes the objective necessary for all group effort. And, of course, all the other managerial functions must be planned if they are to be effective. That us, the managerial functions are inseparable, especially, planning and controlling are often

referred to as the twins. This is because controlling, by definition, is the comparison of activities and performance with the plans. It is the planned performance which is controlled.

ii. **Pervasiveness of planning:** Planning is pervasive/ universal in the sense that:

a. It is function of all mangers regardless of the level they belong, the time spent of planning the significance the characteristic etc.

b. Planning exists in all organizations regardless of their type and size.

iii. **Planning is Directional:** This implies that the purpose of any plan and all its supportive plans is to facilitate the accomplishment and the achievement of the purposes and the objective of the organization. Managerial planning seeks to achieve a consistent, coordinated structure of operations focused on desired ends. Without planning, actions much become merely random activity, producing nothing but chaos.

iv. **Planning is directed towards efficiency:** The efficiency of a plan is measured by its contribution to purpose and objectives, offset by the costs and other unsought factors required to formulate & operate it. Plans are efficient if they achieve their purpose at reasonable costs, when cost is measured not only in terms of time, money or production, but also in the degree of individual and group satisfaction.

v. **It concerns future:** Since planning is deciding currently about the future, it involves forecasting and decision making. The essence of planning is looking a head & is concerned with deciding in the present what is to be done in the future.

vi. It has dynamic aspects(it is flexible & continuous)

A manager plans on the basis of some assumptions, which may not come true in the future. Therefore, he had to go on revising, modifying and adjusting plans in the light of the prevailing realities/ circumstances. Thus, planning is not only the primary function of management, but it is also a continuous function of management. Planning is flexible as it is based on future conditions which are always dynamic.

In sum, every business plan must have the following characteristics: objectivity, futurity, flexibility, stability, comprehensiveness, clarity & simplicity.

3.1.3. Importance/ purpose of planning

I. **To offset/minimize uncertainty:**

Future is always full of uncertainties and changes which make planning a necessity because planning foresees the future and makes provisions for it there by giving an added strength to the organization for continuous growth and steady prosperity.

II. **To focus attention on objectives:**

Because all planning efforts are directed towards achieving enterprise objectives, the very act of planning focuses attention on these objectives. Well considered overall plans unify interdepartmental activities.

III. To gain economical operation:

Planning minimizes costs because of its emphasis on efficient operation and consistency. It substitutes joint directed effort for uncoordinated piecemeal activity.

IV. Helps in Controlling

Planning and controlling are inseparable, and commonly referred to as the Siamese twins. This is because unplanned action cannot be controlled, for control involves keeping activities on course by correcting deviations from plans. Any attempt to control without a plan would be meaningless, since there is no way for people whether they are going where they want to go (the task of control), unless they first know where they want to go (the task of planning). Plans thus furnish the standards of control.

Generally, a coordinated sense of action, managerial perspective, improved decision making, increase efficiency, improved control and performance are also benefits of planning.

Steps in the process of planning

The following are the steps that serve as a general model which can be applied with some modification, to the planning processes of any organization.(Whether it is large or small, profit making or not-for-profit).

1. Identifying and defining the real problem

An awareness of opportunities in the external environment as well as with in the organization is the real starting point for planning. We should take a preliminary look at possible future opportunities and see them clearly and completely: know where we stand in the light of our strengths and weakness, understand what problems we wish to solve and why, and know what we expect to gain. Our setting of realistic objectives depends on this awareness and planning requires realistic diagnosis of the opportunity situation.

2. Establish clear- cut objectives

The next step in the planning process is to set objectives to the organization and to each work unit, not only for long-term but also for the short range. Objectives specify the expected results and indicate the end point of what is to be done, where the primary

emphasis is to be placed, and what is to be accomplished by the net work of strategies, policies, procedures, rules, budgets and programs.

3. Establishing the Premises:

Premises are assumptions providing a background against which estimated events affecting the plan will take place. They are assumptions about the environment in which the plan is to be carried out. Knowledge of the organization's goods and existing conditions provides a framework for defining which aspects of the environment will have the greatest influence on the organization ability to achieve its objective. The purpose of environmental analysis is to identify ways to respond to changes in economic, technological, social, cultural & political and legal environments having indirect influence to the organization's plans and for changes with direct influences which can be extended on the organization's market, industry, suppliers, competitors or key resources and skills.

Here, great consideration should be give to the assumptions regarding the future. Therefore, the assumption and the constraints under which plans are to operate should be clearly brought about/ established.

4. **Identify Alternative Course of Action**

The fourth step in planning process is to find alternative course of action. We may have a number of alternatives and finding alternatives is not common problem. But reducing the number of alternatives so that selecting the most promising may be analyzed which requires the assessment of their probable consequences.

Thus, the planner must usually make preliminary examination to discover the most fruitful possibilities.

5. Evaluating alternative Courses

After identifying the alternatives, the next logical step is to evaluate each and every alternative by weighing them in the light of the premises and goals. One course may appear to be profitable but require a large out lay with a slow pay back: another may look less profitable but involves less risk: still another may better suit the company's long range objectives but it is difficult to adept it, etc.

Therefore, make an adjustment for the forecast plan if any: see if the cost, speed, and quality requirements are satisfied for the achievement of desired objectives in terms of each possible course of action.

6. Selecting a course of action/best Alternative

After evaluating each alternative based in the goals and premises, the next step is to decide or select the best course of action that will help efficiently achieve the organization objectives. When we decide, we have to make sure that the plan possesses flexibility to adjust to varying conditions, acceptance of the plan by operating personnel as well as the existing capacity of the firm and need for new equipment, space, personnel training and supervision.

7. **Formulating Derivative Planning**

After the decision is made, planning is seldom complete and certain arrangements should be made that support the implementation of action chosen That is identification of the derivative plans that support the major plan of action. The sequence of the activities necessary to accomplish the desired aim and other details required to implement the plan should be ascertained.

8. Numberizing Plans by Budgeting

After decisions are made and plans are set, the final step is to give them meaning that is to numerical plans by converting them to budgets, this helps to establish verifiable targets of achievement and to facilitate control. The planner should be able to arrange for sufficient reports and records over a reasonable period to be collected to inform proper management Members and measure results as well as what remedial action could be proposed if results indicate weakness when plans are in action.

Skills required in planning

Skills required in planning are:

i. Forecasting

ii. Decision Making

i. **Forecasting:** is the attempt to predict out comes and future trends that can serve as basis for planning, by inferences from known facts. By relating the past and present information or data, management should be able to anticipate the future environment.

- In developing premises, the kind of markets, volume of sales prices, products, technical developments, costs tax rates, policies related to dividends, the social and political environment, long-term trends etc of the future should be predicted with help of forecasting.
- Effective planning is made with the help of forecasting because planning it self is a future oriented course of action. Accordingly we have to assess the dynamism of both the internal and external environment. When managers assess the alternatives, they try to

forecast how events both with in and outside the organization will affect each alternative and what the out come of each will be.

We can use both qualitative & quantitative forecasting to predict future economic and sales information.

Qualitative Forecasting:

It is judgment based forecasting technique used "when" hard data are scarce or difficult to use. It is appropriate when hard data are scarce or difficult to use. It thus involves the use of subjective judgments and rating schemes to transform qualitative information into quantitative estimates. Examples include the jury of executive opinion, market research and the survey of expert opinion.

Quantitative Forecasting:

It is used when there is sufficient "hard" or statistical data to specify relationships between key variables. Extrapolation forecasting, such as tine-series analysis, uses past or current trends to project future events. Sales records of the past several years, for example, could be used to extend the sales pattern into the coming year. It disregards political considerations, action of competitors, technological changes: it merely depends on the past and current trends.

Quantitative forecasting can be used if information exists about the past and the present; if this information can be specified numerically and; if it can be assumed that the pattern of the past will continue. To the contrary, inputs to qualitative forecasts are mainly the result of intuitive thinking, judgment and accumulated knowledge. It is believed hat quantitative techniques are generally more accurate than qualitative ones.

To conclude, our forecasting should be accurate, up to date, applicable and less costly as much as possible. They must constantly analyze the effect of different decisions on their organizations and select the alternative that will move the firm toward its stated objectives.

Types of Decisions: Several authors believe that there are two types of decisions programmed & non-programmed decisions.

1. Programmed Decisions

Programmed decisions are those that are made in predictable circumstances and have predicable results. Results are predictable because similar decisions have often been made before under similar, and recurring circumstances. When problems are of repetitive and routine nature, alternative procedures are developed and used to solve these problems each

time they occur. Programmed decisions are, therefore, based on policy directives, procedures and rules.

2. Non- programmed Decisions

Non-programmed decisions are those that are made in unique circumstances and often have unpredictable results. While programmed decisions can be anticipated, non-programmed decisions must be dealt with as they occur. Higher-level managers tend to make more non-programmed decisions.

For example:

- Whether to add a product to the existing product line
- To reorganize/ restructure the company, or
- To acquire another firm.

Inputs of Decision Policies, Procedures , Rules, Guidelines, and other parameters	Programmed decision	Determined out comes Results of most operations are expected, known, or probabilities are estimated

Inputs for Decisions No clear objective, Information, often Intuition and judgment	Non-programmed Decision	Out comes Results are unknown or unexpected, probabilities are not estimated

The steps in decision-making

The steps in decision-making process include the following:

1. **Ascertain the need for a decision**

The decision making process begins by determining a problem exists: that is there is an unsatisfactory condition.

2**. Establish decision criteria**

Once the need for a decision has been determined, there comes a need to establish decision criteria, which requires identifying those characteristics that are important in making the decision.

3. Allot weights to criteria

The identified criteria should be weighted based on their importance and arranged in priority. This is because some are obviously more important than others are and we need to weight each criterion to reflect its importance in the decision.

4. **Develop Alternatives**

This involves developing a list of the alternative that may be viable in dealing with the stated problem.

5. Evaluate Alternatives

Once the alternatives are enumerated the decision maker must critically evaluate each one and identify the strong and weak points when compared against the criteria and the weights established. In evaluating each alternative, we not only consider numerical terms- things that can be measured ion numerical terms such as time and various types of fixed & operating costs, but also consider intangible or qualitative factors such as the quality of labor relations, the risk of technological change or the international political climate.

6**. Select the best Alternative**

After we evaluate the alternatives, the next logical step is to select the best alternative that suits to solve our decision problem. In selecting the best alternative, factors such as risk, economy of efforts, timing and limiting factors should be considered adequately.

7. Putting decision into Action

After selecting the best alternative, we implement or put it into action. This requires communication of decision to subordinates, getting acceptance of the decisions, and getting support and cooperation for converting the decision into effective action.

The decision should be effective at proper time and in proper way to make the action effective to achieve desired objectives.

8. Following up Decisions

Having implemented the decision, the manager should compare the results of that course of action with the desired out come and if necessary take corrective action. Since decisions are made based on forecasts about the future, the best decision that we select may not suit absolutely to achieve our objectives. There fore, managers should adjust, modify or take any other correctives if necessary.

Decision making situations

1. **Decisions under certainty:** decisions is made in which the external conditions are identified and very predictable/when ever there is complete data & information/
2. **Decisions under risk:** those decisions in which probabilities can be assigned to the expected outcomes of each alternative.
3. **Decisions under uncertainty**: it is a case where neither there is complete data nor probabilities can be assigned to the surrounding conditions. Some conditions that are uncontrollable by management include competition, government regulations, technological advances, the overall economy, and the social and cultural tendencies of society.

Types of plans

Plans can be classified on three bases:

I. Based on duration /time dimension

II. Based on organizational level

III. Based on specify

I. Based on duration /time dimension

Based on their time horizon plans are classified in to three.

- Short-range plans: plan for a year or less. E.g. Annual plan of sales, revenue, production material requirement operating expenses budget
- Intermediate plans plan between a year and five years. E.g. Development of new products, modernization of facilities, etc
- Long range plans: plan for five or more year E.g. Long term plans on production or ware house facilities

II. Based on specificity/Frequency

Specificity refers to the type of situation that plans cover. based on this they can be:

1. Single-use plans

They are predetermined courses of action developed for unique, non-recurring situations. They are plans that are used once and then discarded. It includes:

- Budgets- is financial plan for allocating resources to complete a program, project, or other organizational activity. It commits resources to an activity over a given period. Once the period of time covered by the budget is completed, new one replaces the budget.

- Projects - are single use plans that are either smaller in scale than programs or part of a program. A project enables to break down complex activities into smaller and manageable activities.
- A Schedule - arranges time for a given activity only
- Program - A program contains all the activities necessary for achieving the objective, they clarify who is responsible for each activity, and they identify the order and timing for each activity.

2. Standing plans

They are predetermined courses of action developed for repetitive situations. They continuously govern the operations of a company until they are modified or eliminated. It includes:

- Policies: While objectives refer what is to be done, policies focus on how organizational objectives will be achieved. Policies provide a general guideline to action. It is a framework for administrators to follow in making decisions and handling problem situations. Policies are mainly prepared by the top management.
- Procedure: Whereas policies are general framework to attain the organizational objectives, procedures are specific steps required to achieve objectives. It details the exact manner or chronological sequence in which action must be taken. Well-established procedures provide specific instructions in handling organizational operations.
- Rule: a plan that dictates actions that must or must not be taken in a given situation. It allows no discretion and denial followed by penalty.

III. Based on organizational level/ scope

Based on where they are formulated in an organization, plans are classified into:

1. Strategic Plans (top management plans)

They are primarily concerned with the development of over all company missions (reason or purpose for existence), objectives and strategies (the direction in which resources will be applied). Top-level managers are responsible to set strategic plans.

2. Administrative/ Tactical Planning

It is the process of setting specific guidelines that shows how to achieve the long-term objectives/strategic plans. It is performed at major functional department level (middle

management) and focuses on applying policies and guidelines that govern the activities of major departments of a firm (e.g. manufacturing finance, marketing, personal, etc).

3. Operational planning

They are done at the supervisory level and are concerned with the efficient and day-to-day use of resources for fulfillment of departmental goals.

Characteristics of good plan

a. Objective - it should be factual, logical, realistic and measurable.
b. futurity- it must foresee, with reasonable accuracy, the nature of future events affecting the firm.
c. Flexibility - they must respond to changes and should be adjustable according to conditions
d. Stability - plans should be stable overtime unless conditions enforce as to change. They shouldn't be changed day to day.
e. Comprehensive- plan should be sufficiently detail to provide guidance for employees at any levels
f. Simple and clear plan should be complex. It should be simple and clear to understand and implement.

Management by Objective (MOB) -is collaborative setting of objectives by managers and subordinates. It has the benefits like better management, clarity in organizational objectives, personal satisfaction, and basis for organizational change generally it creates commitment and motivation for employees and makes the implementation simple

CHAPTER FOUR

THE ORGANIZING FUNCTOIN

Definition: Organizing is the management function that establishes relationships between activity and authority. When managers create an organization they are actually developing a framework in which to create the desired product or service. This framework establishes the operating relationships among people: who supervises whom, who reports to whom, what departments are formed and /what kind of work each department performs.

The result of an organizing process is an organization a whole consisting of a unified parts (a system) acting in harmony to execute tasks that achieve goals effectively and efficiently and accomplish the company's mission.

Relationship between planning and organizing

Planning and organizing are intimately related. Organizing begins with and is governed by plans that state where the organization is going and how of will get there. An organization must be built, or an existing one modified, to ensure that those plans are executed and objectives achieved.

Benefits of organizing

The organizing process is important as a way to help the organization attain its mission. In addition it has the following importance.

1. Clarifies the work environment:

Every one understands what to do. The tasks and responsibilities of all individuals, departments and major organization divisions are clear. The type and limits of authority are determined.

2. Creates a coordinated environment

Confusion is minimized and obstacles to performance are removed because it defines the interrelationships of the various work units and establishes guidelines for interaction among personnel.

3. Achieves the principle of unity of direction

In organizing each work units will have one coordinator that leads them to one direction, i.e. the direction which similar to the general organization objectives.

4. Establishes the chain of command

Organizing creates unbroken line of relation ship (Chain of command) from the bottom to the top of the organization. It defines the formal decision marking structure and avoids confusion.

Nature and basic concepts of organizing

- Steps in organizing process
- Division of labor
- Departmentation
- Co-ordination
- Authority, responsibility and accountability.
- Authority and power
- Delegation
- Centralization and decentralization
- Span of management (control)
- Formal and informal organization
- Organization structure and organization chart

STEPS IN ORGANIZING PROCCESS

Organizing involves five steps:

1. Reviewing plans and goals/ objectives
2. Determining work activities
3. Classifying and grouping activities
4. Assigning work and delegating authority
5. Designing a hierarchy of relation ships

1. **Reviewing plans and goals/objectives.**

A company's objectives and its plans to achieve them dictate its work activities

2. **Determining work activities** – managers need to ask what work activities are necessary to accomplish the objectives.

3. **Classifying and grouping activities** – Once managers know what tasks must be done; they classify and group these activities in to manageable work units- departments (through departmentation). Departmentation may be functional, geographical, product, or customer.

4. Assigning work and delegating authority.

After grouping the activities in to departments, managers must assign the units to individuals and give them the appropriate authority to accomplish the task.

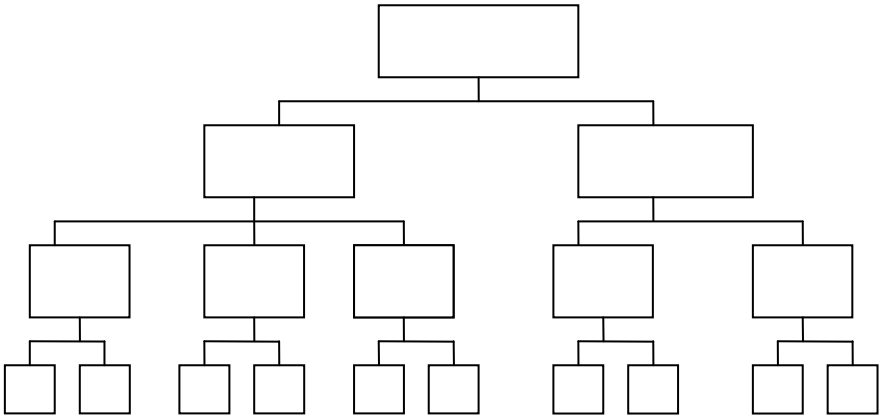
5. **Designing a hierarchy of relationships**.

This last step requires managers to determine the vertical and horizontal operating relationships of the organization as a whole. Vertical structuring results in a decision-making hierarchy. Horizontal structuring defines working relationship between operating departments.

STEP 1:- Plan 10% return on investment

Step 2:-	Hiring	Training	Assembly	Sales
	Payroll	Bookkeeping	Recruiting	Collection
	Machining	Advertising	packaging	Inspection
Step 3:-	Marketing	Finance	Human Resource	Production
	Advertising	Payroll	Recruiting	Machining
	Sales	Bookkeeping	Hiring	Assembly
	Packaging	Collection	Training	Inspection
Step 4:-	Abebe	Lema	Samuel	
	Sales	Bookkeeping	Payroll	
	Kebede	Kassa	Sara	
	Hiring	Collection	Advertising	

Step 5:-



Departmentation: meaning and basis

Departmentation is dividing and grouping activities and employee of an organization in to various departments. There are four types of approaches of departmentation.

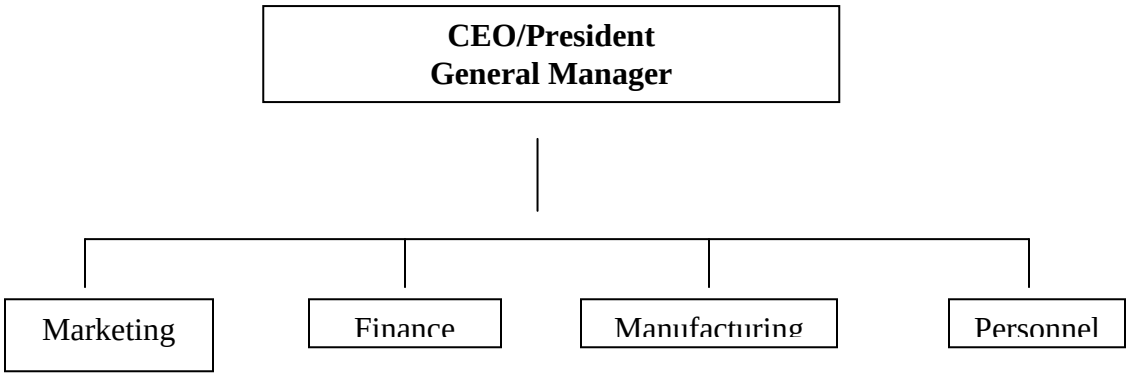
1. Functional departmentation
2. Product departmentation
3. Geographical departmentation
4. Customer departmentation

5. Process or equipment departmentation
6. Matrix departmentation

1. Functional Departmentation

Functions refer to the various responsibility areas of an organizational component. It is the process of grouping the organizations activities in to units in logical manner on the basis of essential functions that must be performed to attain organizational objectives/goals.

These functions include marketing finance, operations, manufacturing personnel, engineering etc.



Advantages

- It is logical, scientific and time tested method because its group like or similar activities together which facilitate specialization (efficiency is fostered through specialization)
- It makes supervision easier, since each manager is an expert in only the narrow range of skills
- Tight control of all functional units is assured, because the top managers are responsible for the end results.
- It simplifies training.

Disadvantages

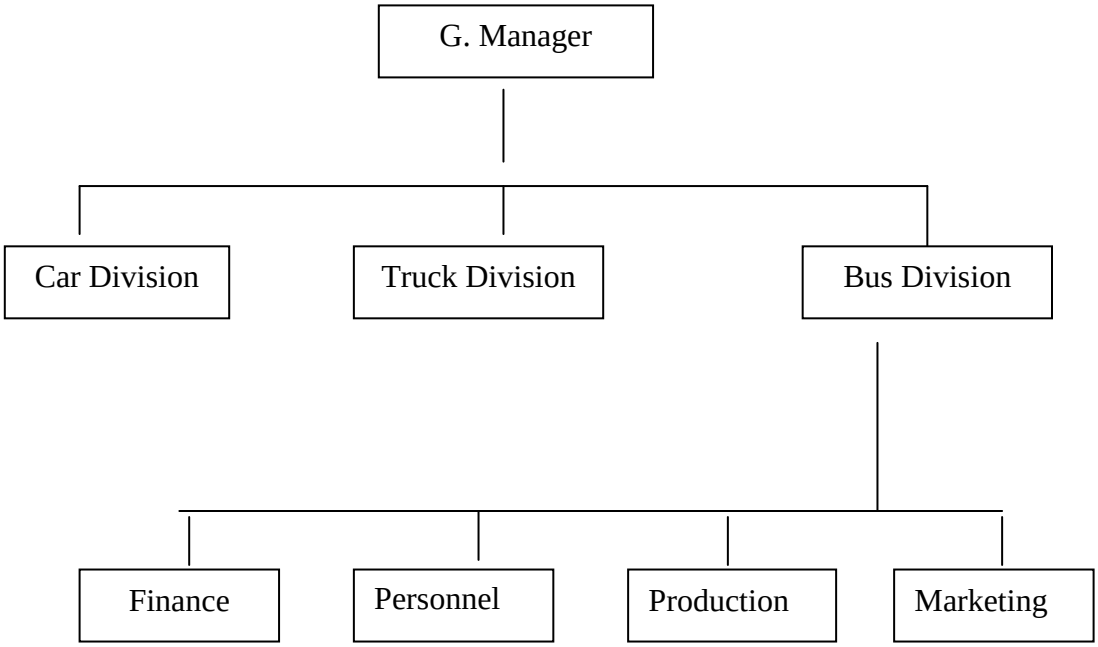
- People in functional departments may lose sight of the overall operations of the business sit in turn invites employee to de-emphasize the overall company objective.
- Lowercase may develop highly specialized skills, but not general managerial abilities. Consequently, functional departmental is not an idea training ground for top level managers.
- Although there is strong relationship between units. With in a function, co-reduction b/n function is reduction.

- Some times conflicts develops among departments as each unit compete for resources
- The geographic area served or the type of product or product line produced may require a different type of departmentation.
- Responsibility for profit is at the top Despite its disadvantages, it is widely used by managers.

2. Product bases of departmentation

It is the grouping of a activities on the basis of product line. It is adopted by commonly used by many factories that produce and sell a number of product lines made-up of several different items. Such as, drug, Food, clothing, machines, automobiles, etc.

E.g. Product departmentation of automobiles



Advantages

It enables the enterprise to focus attention and efforts on product line, marking it easier for management to see the efficiency and effectiveness of production determine which product is profitable or not.

-It improves co-ordination b/n functions relating to a particular products.

-Furnishes measurable training ground for general managers

-Facilitates use of specialized facilities, skills; knowledge's; capital.

Disadvantage

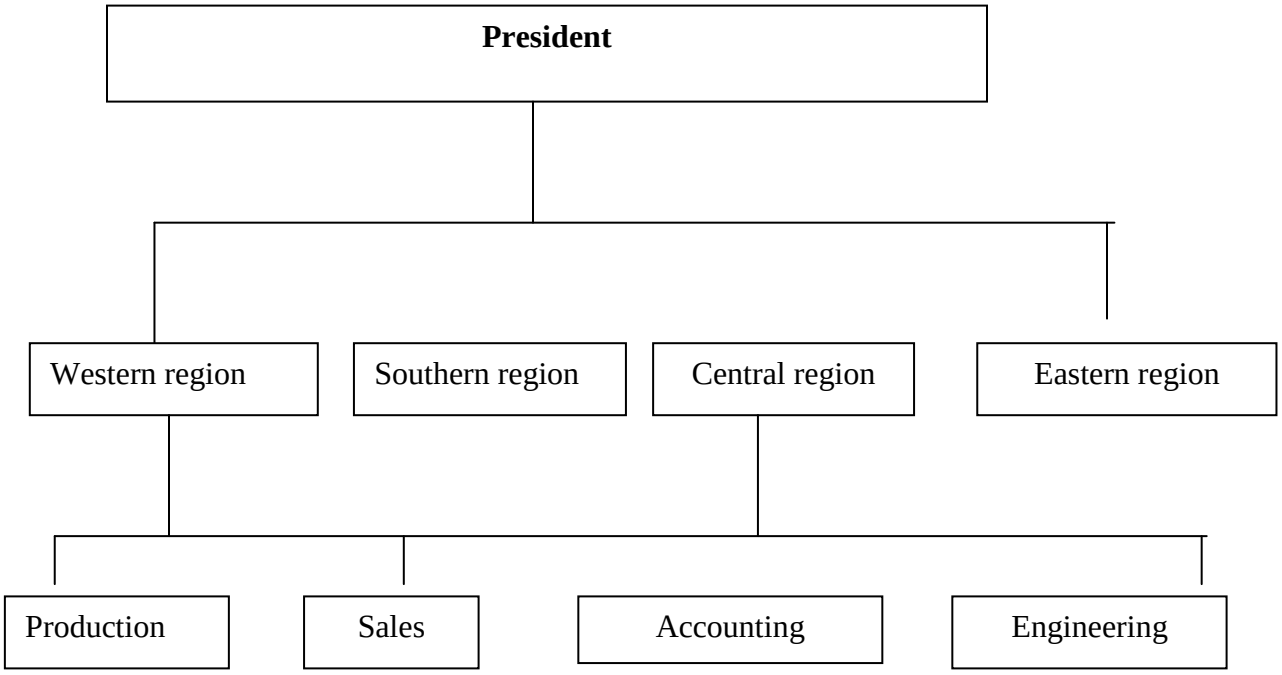
-requires more persons with general manager abilities

-there is and ever-present danger of duplication of activities

-it presents increased problem of top mgt. Control.

3.Department by Geographical area (Territory)

It is often refereed to as area or territorial departmentation , and it groups business activity on the basis of geographic region or territory; This enables a firm to adapt to local customs and laws and to serve customers more qu9ckly. It is especially attractive to large-scale firm or other enterprises whose activates are geographically dispersed.



Advantages

- Results in great saving in time and money. The enterprise can benefits form lower freights, rents and lower labour costs. Thus, It takes advantages of economics of local operations (place emphasis on local markets and operation)
- Places responsibilities at lower level (these will be quick decisions)
- Places measurable training ground for general managers
- Better face to face communication with local interests

Disadvantages

- Requires more persons with general managers abilities (its is costly to implements)
- Duplication of efforts
- Increase problem of top management control. This is because of having flat span of management controls. Some times the decision to set-up geographic departments is

based on economic consideration such as, transportation costs for raw materials, for distribution, etc.

4. Customer departmentation

It is the proving of enterprise activities based on customer interests companies that must provide special services to different groups set up departments by types of customers, using by customer's departmentation.

For example a manufacturer may have both an industrial products division for industrial customers and consumer product division for other consumers. An airlines company may make departments for traveling agency, government, government passengers, tourists and other customers.

Normally, setting up departments by customers is not a primarily form of deparmtentaion. It is used instead with in some other framework.

Advantages

- Encourage concentration on customers needs
- Giving customer felling that they have understanding suppliers
- Develops expertise in customer area.

Disadvantages

- May be difficult to co-ordinate operations between competing customer demands
- Requires managers and staff experts in customers problems
- It may result in under utilization of resources in some departments
- Customer groups may not always be clearly defined
- There may be duplication of activities

3. Process or equipment departmentation

- It is the grouping of enterprise activities according to the products manufacturing process
- This method of departmentation is logical and used when the machine or capacity which eliminate organizational dividing or have technical facilities which strongly suggest a concentrated location. For example, a textile factory, may be classified in to spinning walling, processing etc. economic and technological considerations are the foremost reasons for adapting process departmentation.

Advantages

- Achieves economic advantage

- Uses specialized knowledge

-Simplifies training

-Sues specialized technology

Disadvantages

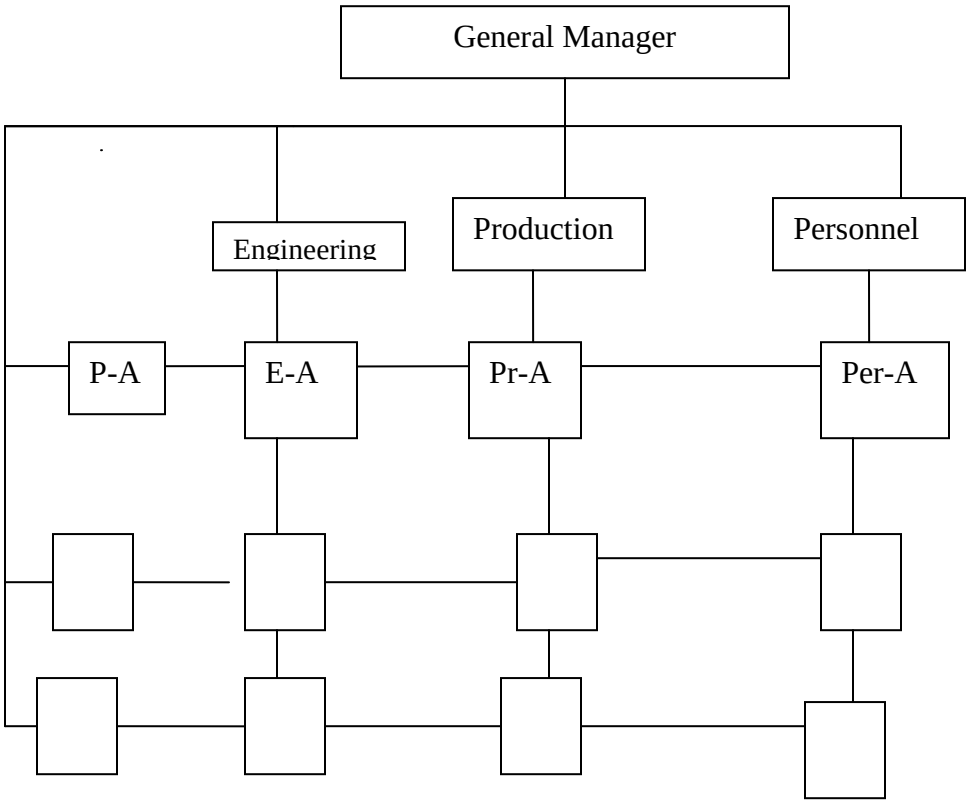
- Co-ordination of department is difficult

-Responsibility for profit is at the top

- It is unsuitable for developing general managers

6. Matrix departmentation

It is an organization arrangement that developed because of the need for quick completion of highly technical projects that required significant contribution by two or more functional groups. It is the combination of deferent departmentaion systems.



Advantages

-Resources are used more efficiently, because groups share machinery or equipment.

-There is more information flow between managers and workers

-Motivated workers, because they se their visible results.

Disadvantages

- It creates conflict, since everyone struggle for power.
- There is dual authority between line and staff. No clear authority
- It needs more managers-and increase cost.

2. Division of Labour or specialization

It is an important concept in specifying tasks. Specialization of labour or division of labour breaks a potentially complex job down in to simpler tasks activities.

Advantage

- It increase efficiency/ productivity by making workers more proficient . i.e. it saves time, material and other costs

Disadvantage

- The boredom and fatigue caused by monotonous or repetitive tasks.
- It lacks job enrichment.

3. Co-ordination

It the establishment of proper and adequate relationship between:

- An employee and his work
- One employee to another or to the group
- One department to another

To promote Co-ordination in addition to other methods, managers can use MBO

4. Authority responsibility and accountability relation ships

Authority – is the formal and legitimate right of a manager to make decisions, give orders and allocate resources. Authority is delegated

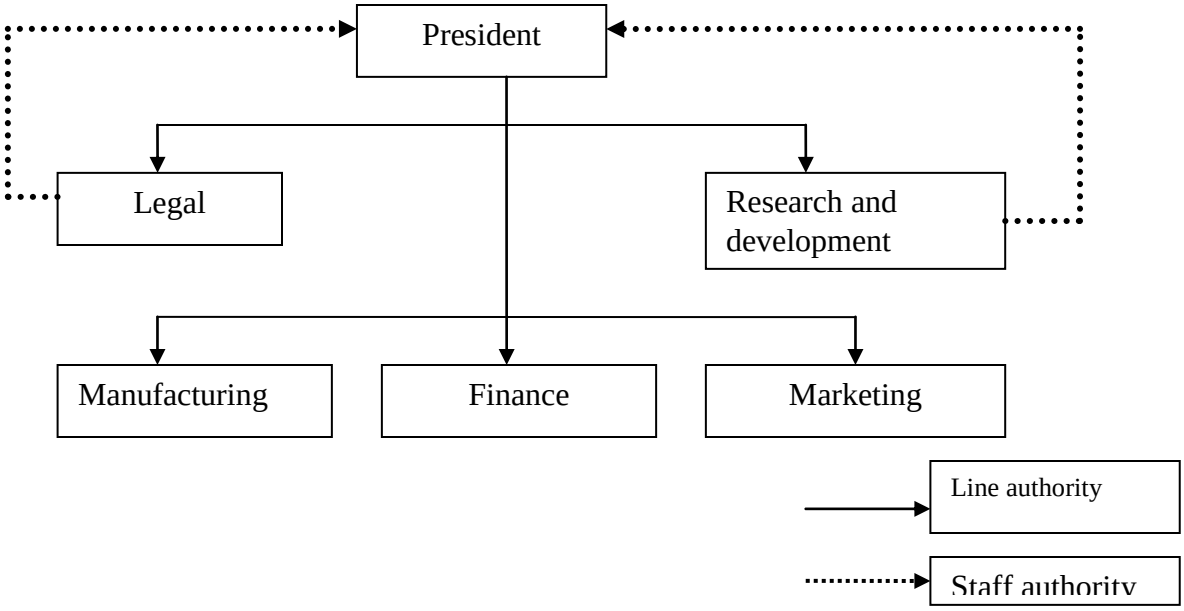
Types of authority

In an organization three different types of authority are created by the relationships between individuals and departments.

1. Line authority
2. Staff authority
3. Functional authority

I. Line authority – the relationship between superior and subordinate. Any manager who supervises operating employees – or other managers – has line authority, allowing the manager to give direct orders to those subordinates, evaluate their actions reward or punish them.

II. Staff authority –is the authority to serve in an advisory capacity. They provide advice or technical assistance. Staff or advisory authority does not provide basis for direct control over the subordinates or activities of other departments with which the person holding staff authority consults, however, within the staff manager's own department, he or he is bill get can exercise line authority over subordinates. Staff authority in the form of advise or assistance flows upward to the decision maker.



III. Functional authority – the authority that permits staff managers to make decisions about specific activities performed by employees with in the departments. Staff departments often use functional authority to control their procedures in other departments. Eg. Human resource manager can monitor recruiting, selecting, and evaluation systems in other departments (marketing, production etc), however he doesn't have the authority to tell the marketing manager which products to promote or the manufacturing manager which products to manufacture

Responsibility – is the obligation to carryout one's assigned duties to the best of one's ability and to use the authority properly responsibility is acceptable but not delegated. Authority is delegated.

Accountability – the need to answer to some one for your actions. It means accepting the consequences either credit or blame of these actions. When a person accepts and assignment and the authority to carry out that assignment, he or she is bill get is accountable or answerable, for his or her action.

5. **Authority and power**: Power – is the ability to exert influence in the organization. Authority is positional – (i.e) it will be there when the person leaves. Authority is part of power. Power is personal; it exists because of the person. A person does not need to be a manager to have power, because managers can acquire power form several different sources.

Sources of power

1. Legitimate or position power- is the power possessed by managers and derived from the positions they occupy in the formal organization. Legitimate / delegated power is authority.

2. Coercive power – the power on fear of the negative results that may happen if one fails to comply. Managers because of their position, have the ability to punish with holding promotion, demotion or dismissing an employee. This gives them power so it is dependent on fear.

3. Reward power – the power that comes from the ability to promise or grant rewards. Managers have the ability to decide on promotions, favorable performance appraisals and preferred work shifts, and this gives them power.

4. Referent power – the power that is based on the kind of personality or charisma an individual has and how other perceives it.

5. Expert power- ability to influence others by one's ability, skill, knowledge and experience E.g. An experienced manager exercise power with new comers.

Line and staff departments

While line and staff authority describes the authority guaranteed to managers, line and staff departments are terms for different roles or positions for various functions in the organizational structure.

Line departments (headed by a line manager)- are the departments established to meet the major objectives of the business and directly influence the success (profitability) of a business. Eg for factories – production, marketing, finance etc are line departments.

Staff departments – (headed by staff manager) provide assistance to the line departments and to each other. They contribute indirectly through advice, service and assistance. Eg. Legal service, public relations etc

Staff departments meet the special needs of the organization.

6. Delegation: is the downward / transfer of formal authority from one person to another. Superiors delegate, or pass, authority to subordinates to facilitate the accomplishment of work. The process of delegation involves sequence of:

1. Assignment of tasks or duties to subordinates.

2. Delegation of authority (to complete the duties)
3. Acceptance of responsibility (by the delegated one)
4. Creation of accountability accepting the consequences either credit or blame of these actions.

Delegation doesn't relieve managers (who transfer their authority) from responsibility and accountability. Managers are accountable for the transfer of their authority to others.

Delegation frees managers from some management areas to be able to focus on more critical concerns. It can increase the ability of a manager

7. Span of management (control)

Span of control refers to the number of employees a manager directly supervises. There is no correct number for the span of control, but it is normally narrower at the top of the organization than at the bottom. Generally the more complex the subordinate's job, the fewer such subordinates should report to a manager. The more routines the work, the greater the numbers to be supervised.

8. Centralization versus decentralization

Centralization – is a philosophy of organization and management that focuses on systematically retaining authority in the hands of higher level managers.

Decentralization – a philosophy of organization and management that focuses on systematically delegating authority through out the organization to middle and lower level managers, it is one. Management's operating philosophy determines where authority resides. Management can decide either to concentrate authority for decision making in the hands of one or a few or to force it down the organization structure in to the hands of many.

Decentralization is more important when subordinates are matured enough (have enough knowledge) to decide and rice versa. Empowerment is the maximum expression of a decentralized philosophy.

9. Formal and informal organization

Formal organization- is the organizing function, which results in an intentional formal organization structure of roles in a legally and formally organized enterprise.

Informal organization – is a network of personal and social relations not established or required by the formal organization. But arising spontaneously as people associate with one another.

It is undocumented and officially unrecognized relationships between members of the organization group needs of employees. It consists of small social groups and friendly associations with in the formal organization.

Informal groups are created on the basis of similarity of status, interest, beliefs, attitudes, backgrounds etc. Informal organizations affect the formal organization positively or negatively.

Positive impact:

-Makes the total system effective

- Provides support to management / better management

- Provides stability in the environment

- Provides a useful communication channel

Negative impact.

- Develops pressure for conformity. An informal group often uses rewards or penalities, called sanctions, to persuade its members to conform to its norms.
- Create conflict – With the formal organization
- Resists change – that may affect employees.
- Initiates rumors and processes false information
- Exposes weak management

10. Organizational structure and Charts

Organization structure – is a systematic arrangement of organizational parts in to a working whole.

It is establishing of relationships among different components or parts of an organization.

Organizational charts- are diagrams of the organizational structure showing the functions, departments or position of the organization and how they are related. It is a graphic representation of organizational structure.

Organizational manual

It is the description of the organizational charts and designed to promote understanding of the basic organizational structure. It is a guidebook consists of every department and functional activity together with objectives and strategies of the organization

CHAPTER FIVE

STAFFING

Definition: The managerial function of staffing is defined as filling and keeping filled positions in the organizational structure through identifying work-force requirement, inventorying the people available recruiting, selecting, promoting, appraising, compensating the training and/or developing both candidates and current job holders to accomplish their tasks effectively and efficiently.

5.1 Staffing Processes

The staffing process represents the following eight activities or steps:

1. Human resource planning/man power planning /
2. Recruitment
3. Selection
4. Orientation and Induction
5. Training and Development
6. Performance Appraisal
7. Transfer and (Promotion demotion, lateral transfer)
8. Separation

1. Human resource Planning (Man Power Planning)

It is the Process of determining the need of the right man at the right time to the right job. It is the process of determining the need of the provision of adequate human resources to the job in the organization will be constantly and appropriately met. It is accomplished through analysis of.

i. Internal factors such as current and expected skill needs, vacancies, and departmental expansions and reductions and

ii. External environmental factors such as the labor market, the government regulation, the labor union etc

As a result of this analysis, plans are developed for executing the other steps in the staffing process. This helps an organization to determine the need of employees for short term or for long term.

There are four basic steps in human resource planning:

a) Planning for future needs. How many people with what abilities will the organization need to remain in operation for the foreseeable future?

b) Planning for future balance. How many people presently employed can be expected to stay with the organization? The difference between this number and the number the organization will need leads to the next step.

c) Planning for recruiting and selecting or for lay off. How can the organization attain the number or people it will need?

d) Planning for development. How should the training and movement of individuals with in the organization be managed so that the organization will be assured of a continuing supply of experienced and capable personnel?

The organizational internal environment (such as its strategic plan) as well as its external environmental will broadly define for managers the limits have been established, managers can begin to compare their future personnel needs against the existing personnel situation in order to determine what recruitment, training and development procedures they will need to follow. The fact that the internal and external environments of an organization change means that managers must monitor these environments to keep their human resource plan up to date. The central elements in human resource planning are forecasting and the human resource audit. Forecasting attempts to assess the future personnel needs of the organization. The human resource audit assesses the organizations current human resources. These two elements give managers the information they need to plan the other steps in the staffing process, such as recruiting and training.

2. Recruitment

It is the Process of reaching out and attempting to attract potential candidates who are capable of and interested in filling available positions of an organization. It is concerned with developing a pool of job candidates, in line with the human resource plan. It is an intermediary activity between manpower planning on the one hand, and selection of employees on the other hand.

An important part of the recruiting process is developing a written statement of the content and the location (on the organization chart) of each job. This statement is called the job description or position description. This statement lists the title, duties and responsibilities for that position. Once this position / job description has been established / determined and accompanying hiring or job specification, which defines the background, experience, and personal characteristics an individual must have in order to perform effectively in the position, is developed.

- Sources of recruitment

Sources of supply are the places, agencies and institutions to which recruiters go to seek potential candidates that will fill the vacant positions or the job needed. These sources of supply are generally categorized in to two.

i) Internal Recruitment /recruitment from within: this involves recruitment within the organization. It could be through promotion lateral transfer, demotion or any there from.

Advantage :

- It is usually less expensive to recruit or promote from within than to hire from outside the organization.
- It may faster loyalty and inspire greater effort among organization members.
- Individuals will already be acclaimed to the organization and may therefore need less initial training and orientation.

Disadvantage:

- It limits the pool of talent available to the organization.

ii) External /outside/ recruitment: It involves recruitment outside the organization. The major alternative sources are :

a) Direct application
b) Employee referral/word of month
c) Advertising
d) Educational institutions
e) Private/Public employment agency
f) Other sources such as professional associations

3. Selection

It can be defined as the process of determining from among applicants which one fills best for the job description and specification which is offered to the job with in the organization. It involves evaluating and choosing among job candidates. The role of recruiting is to locate job candidates, the role of selection is the evaluate each candidate and the pick the best one for the position available. Application forms, resumes, interviews, employment and skill tests, and reference checks are the most commonly used aids in the selection process.

Selection is the mutual process where by the organization decides whether or not to make a job offer and the candidate decides on the acceptability of the offer.

4. Orientation and socialization / induction /

It is designed to provide a new employee with the information he/she needs in order to function comfortably and effectively in the organization. Typically, socialization will convey three types of information.

1. General information about the daily work routine :
2. A review of the organizations history, purpose, operations and products or services, and how the employee's job contributes to the organizations needs, and
3. A detailed presentation, perhaps in a brochure, of organizations policies, work rules and employee benefits.

4. Training and Development

Organizing human resources is a dynamic activity. Job demands change, which requires altering and updating an employee's skills. Therefore, managers are involved in deciding when their subordinates may be in need of training. Thus, training is a process designed to maintain or improve current job performance, development is a process designed to develop skills necessary for future work activities.

Reasons for Training

a) To orient new employees: while schools and training institutions provide general education in many skills new employees require additional training to acquaint them with specific situation of the organization and the job.
b) To improve performance: training will help to improve performance by increasing productivity, improving quality, reducing turnover, reducing labor cost, etc.
c) To maintain current performance: Sometimes individuals holding a position or doing a job may get obsolete so train these employees will help to maintain current performance.

Training Methods:

There are two different types of training techniques.

i. on-the-job training
ii. off-the-job training

i. On-the –job training : involves learning methods and techniques by actually doing a job (performing the work) and increasing the levels of skills of the employee. The employee usually learns under the supervision of the immediate boss or co-worker

who has greater knowledge and skills about the job. It is widely used, because it is economical and convenient, and no special facilities, equipment and training places are required and the employee produces and contributes to the organizational objective and at the same time he learns job rotation and job instruction methods are few of the techniques used in on the job training. It is convenient for small number of trainees. Some of its disadvantages are: it creates disinterest of employees, employees have dual responsibility, and it is not convenient for large number of employees.

ii. Off –the Job Training: This technique involves participation of employees in a series of events removed from the actual performance of the organization and the work situation.

Advantages:

- It creates interest of employee : because employees are removed from their routine activities and are removed to a new environment.
- It is convenient for large number of employees. (trainees)

Disadvantages

- It is expensive-there are costs for trainers, facilities and also the employee does not contribute during the training.
- There is a problem of transfer of knowledge from the training situation to the actual situation of the job.

Vestibule training, classroom instruction/ lectures, films and simulation exercises are the more popular techniques of off the job training.

6. Performance Appraisal

It is the process used to determine whether an employee is performing according to what is designed or intended. It helps to formally evaluate the adequacy of recruitment and selection and suggests whether or not the employee will need to be replaced, or trained.

The many purposes of performance appraisal can be summarized in the following key points:

- Performance appraisal should lead directly to increased productivity.
- It helps in salary administration
- It play a vital role in determining an employee for promotion.
- Appraisals are used as a vehicle for bringing about employee development because the results of the performance evaluation can serve as a basis for coaching and counseling.
- Performance appraisal results are used extensively in human resource research.

7. Transfer, Promotion and Demotion

It is shift of a person from one job, organization level, or location to another. The transfer may be promotion, demotion, or a shift to another same level position/lateral transfer.

Promotion: refers to a shift for advancement of an employee to a higher job with more employment and prestige, higher status, and higher responsibility. The possibility of advancement often serves as a major incentive for superior performance, and promotions are the most significant way to recognize such superior performance. Therefore, it is externally important that promotions be fair. i.e, based on merit and free from favoritism.

Demotion: refers to a shift of an employ to a lower position in the hierarchy due to inefficiency, and incompetence, and incompetence to fulfill assigned tasks.

Lateral transfer: refers to the movement of an employee from one job or position to another without involving any significant change in the employment and status.

8. Separation

This refers to those factors that bring the termination or ceasing of the relationship between the organization and the employee. Separation may result from such factors as resignation layoff, discharges, death, quite and retirement.

CHAPTER SIX

LEADERSHIP

6.1 DEFINITIONS OF DIRECTING/LEADING

Directing is the process of integrating people with the organization so as to obtain their willing and enthusiastic cooperation for the achievement of its goals. This requires integration of organizational goals with individual and group goals. Employees as individuals such as group members will contribute their abilities and efforts for the achievement of organizational goals to the extent that they perceive that it simultaneously results in advancement towards their own individual and group goals. To actuate/direct the behavior of individuals, a manager requires three basic skills: namely, leadership, motivational and communication.

Different authors define leading in several ways. Some of these are:

Hiamann defines directing consists of the process and techniques utilized in issuing instructions and matching certain that operations carried out on as originally planned.

Koontz and Donnel states directing is the interpersonal aspect of managing by which subordinates are led to understand organizations objectives.

J.L. Massie says directing concerns the total manner in which a manager influences the actions of his subordinates. It is the final action of a manager in getting others to act after all preparations have been made.

According to E. Dole directing is telling people what to do and seeing that they do to the best of their ability. It includes making assignments, corresponding procedures, seeing that mistakes are corrected, provided on the job instructions and issuing orders.

When we see the general idea of the above definitions, they try to send the same message and can be summarized as follows.

Directing is the process of influencing people so that they will contribute to the organization and group goals. When we say influencing it does not mean that coercing/forcing, imposing sanctions or pushing people behind. It means rather motivating, guiding, supervising and actuating people so that they contribute their maximum effort for the achievement of organizational goals. Therefore, directing is part of management function, which actuates organizational members to work efficiently and effectively for the attainment of organizational objectives, planning, organizing and staffing are merely preparations for doing the work and the work actually starts when the manager starts performing the directing function. It is the interpersonal aspect of management, which deals directly with influencing,

guiding, supervising and motivating the subordinates for the accomplishment of the predetermined organizational objectives.

Directing is a challenging function of management, because it deals with the human element of the organization, which represents complex forces about an individual. A person's beliefs, hopes, ambitions, behavior, satisfaction and interaction with the other persons are all involved in the directing function.

6.2 Elements of Directing

There are three elements/skills of directing that helps managers to influence people to contribute willingly for the achievement of organizational goal. These are:

- Leadership
- Motivation, and
- Communication

Definition: Leading is the art or process of influencing people so that they will strive willingly towards the achievement of group goals.

Leadership is the ability to secure desirable actions from a group of followers voluntarily without the use of coercion. The process of directing and inspiring workers to perform the task related activities of the group.

6.2.1 Theories of leadership

1. The trait theory of leadership

Traits are inborn and inherent personal qualities of individuals such as intelligence, appearance, sociability, self-confidence etc. This theory believes that leaders possess certain specific inborn traits (characteristics), which are inherited rather than acquired. It holds that leaders are born not made (not acquired). It focuses in what leaders are rather than what they do.

The trait theory studies focused on the personal traits of leaders and attempted to identify a set of individual characteristics that distinguished leaders from followers and also successful leaders from unsuccessful ones.

In general the trait theory beliefs that effective leadership is dependent on the inborn personal traits of individuals not dependent on behaviors which can be learned (acquired)

Drawbacks of this theory:

1. All traits are not identical with the important characteristics of a leader.
2. Some traits may be inherited and others can be acquired by training.

3. In identifying a successful leader, the theory does not distinguish the most important traits of successful leader.
4. The traits required to attain leadership may not be the same that are acquired to sustain leadership.
5. Traits exhibited by leaders are also found among followers, explaining as to why followers could not become leaders.

Generally it hasn't been a fruitful approach to explain leadership.

2. **The behavioral theory of leadership**

The behavioral theory of leadership-focused what leader do rather than their traits. Studies showed that one set of traits/leadership style might not be equally appropriate in all situations. Followers of this theory believe that if individuals are trained in appropriate leadership behavior they can lead more effectively. Because the behavior (which can be learned) is more important than trait (which is inborn). However it doesn't mean that personal traits have influence on leadership. So effective of leadership is a function of both inborn personal traits and acquired behaviors. The effectiveness of leaders is mainly measured by the outcomes of individual subordinates who are under the supervision of that person.

3. **The Situation leadership theory:** According to this approach no one trait was common to effective leaders. No one style was effective in all situations. So there are different factors in each situation that influence the effectiveness of a particular leadership style.

Leadership is not orally dependent on personal traits and behaviors, but also dependent on situations. To lead effectively different traits or behaviors are required in different situations.

6.2.2 LEADERSHIP STYLES

Managers in an organization shall relatively be consistent in the way they try to influence others behavior.

The manager who dominates subordinates in one situation is not likely to use a high degree of consideration and participation in and there. This behavioral pattern of leaders is known as leadership style.

It can be defined as the various patterns of behavior favored by leaders during the process of directing and influencing workers. Which is determined by leader's personality, experience and value system, nature of followers and environment.

There are three important leadership styles

a) Autocratic

b) Democratic /Participative /

c) Laissez-faire /free rein/

a) **Autocratic Leadership style:**

This leadership style is closely associated with the classical approach to management and it is characterized by the following behavioral patterns of leaders.

- The leader doesn't seek any opinions from subordinates, holds conflicts and with less creativity.
- Exercises rigid control and close supervision, relies on punishments.
- Subordinates typically react by doing only what's expected and by suppressing their frustration.
- They structure the entire work situation in their own way and expect the workers to follow their orders and do not tolerate deviation from their order.
- The autocratic lead is task-oriented, gives little value on showing consideration to subordinates.
- Depends on one way communication downward only.
- They assume full responsibility for all actions.

Advantage

1. It is useful when subordinate is new and has no experience.
2. In the crisis or emergency situation it can increase efficiency and get quicker result.
3. It is useful when subordinates are not interested in seeking responsibility or feel insecure at the job.

Disadvantage:

1. One-way communication without feedback leads to misunderstanding and communication breakdown.
2. It fails to develop workers commitment to the accomplishment of objectives.
3. it is unsuitable when the workers are knowledgeable about their job.

b. Democratic /participate/ leadership style

This leadership style is characterized by the following behavioral patterns of the leader.

- Allows the group members to participate in decision making process, proposed actions and encourages participation at all levels.
- The leader will develop two-way communications and promote team sprit.

- The democratic leader explains to the group members like reasons for personal decisions when necessary and objectively communicates criticism and praise to subordinates.

Advantage

1. Active participation of workers and assures rising of productivity and satisfaction.
2. Workers develop greater sense of self-stem due to the importance given to their ideas.
3. Worker become more committed to change
4. It Results in higher employees moral

Disadvantage

1. The democratic leadership requires some favorable conditions. Workers must be literate, informed and organized.
2. The assumption that all workers are genuinely interested in the organization and their goals are successfully fused with the organization's goals may not always be valid.
3. Some group members may feel alienated if their ideas are not accepted for action.
4. It is very time consuming and to many view points and ideas may make the solid decision.
5. Some managers may be uncomfortable with the approach.

C. Laissez-fair/free rein/leadership style

In this type of leadership style, the leader is just a figurehead and does not give any direction. He acts principally as a liaison/contact between the group and the outside environment and supplies necessary materials and provides information to group members. Their main role is aiding /facilitating the operations of followers.

He let the subordinates plan and organize and develop their own techniques. For accomplishing goals within the organizational policies and objectives the leader participate very little and instead of leading and directing he becomes just one of the members.

This type of leadership is essential in research laboratories, where the scientists are fairly free to conduct their research and make their decisions. These are some the behavioral patterns of laissez-faire leader.

Advantage

1. It creates an environment of freedom, individual ally and the team spirit.
2. It is highly creative, with a free and informal work environment.
3. It is very useful where people are highly motivated and achievement oriented.

Disadvantage

1. It may result in disorganized activities, which may lead to inefficiency and chaos.
2. Insecurity and frustration may develop due to lack of specific decision making authority and guidance.
3. Some members may put their won interests over the interest of team.

6.2.2 COMMUNICATION

Communication is one of the effective means through which a man attempts to satisfy his needs. In fact there are some people who feel that effective communication is held only through speaking. This view, however, is a wrong view in that apart from speaking there are other means of communication. Even while we speak we often resort to physical gestures. We wave our hands, shrug our shoulders, smile and nod to reinforce what we way. Besides, there are several other means of communication available to us. We use non-linguistic symbols such as traffic lights, road sings, railway signals to convey information relating to the movement of vehicles and trains.

Thus, communication is any behavior, verbal or nonverbal, that is perceived by another. Knowledge, feelings or thoughts are enclosed and sent from at least one person and received and decoded by another. Meaning is given to this message as the receiver interprets the message. A connection is made between the people communicating.

In general, when we see the dictionary meaning of communication "communication is an art or instance of transmitting." Communication is the transfer of information to achieve a goal.

The term communication is derived from a Latin word 'communicare' which means common and it means sharing, imparting, and participating.

Here in this context it refers to sharing of:

- information or
- intelligence/ ideas, thoughts/

Hence, communication is a process in which people share information, ideas, and feelings. It is natural to all living things. All animals from the small bees and to the big mammals like wheals and elephants communicate.

People can communicate using different media. The most common method is language. The selection of media depends on the type of communication.

a/ verbal: spoken or written

b/ non-verbal: intentional and unintentional means other than writing or speaking /facial expression, gesture, appearance posture, clothing, etc.

6.2.2.1 Elements of communication

Communication is not that begins at one time and stops at another. It is rather a process that does not stop at a predetermined place. Moreover, in order to communication exist the following components should be fulfilled:

-Idea
-The idea changed to a message
-Receiver
-Sender
- Channel/medium
- Response/feedback

The first thing to note is that in every communication situation there are two parties, a sender and receiver, who interact with in a common frame of reference. Without a common background, purpose and interest there can be no effective communication. An important

factor in the communication process is the existence of co-operation between the sender and the receiver. If we speak to a person who is totally lost in his/her thoughts or use a language he/she does not understand, no communication will take place.

Communication is, in fact, a social function and each community develops a common medium for the purpose. The medium may consist of a language or code a set of symbols that stand for certain ideas, feelings, notions, things, etc. To encode a message, relevant symbols are selected and arranged into a pattern to convey meaning.

6.2.2.2 Importance of Communication/Why Study Communication?

Communication is important to the individual, the manager and the organization.

Communication and the manager

a/ Communication is the major part of managerial activity:

The manager's role includes- interpersonal role

- informational role
- decisional role

b/ Communication skill is the basis for managerial duties and responsibilities. A manager should be effective in the human skill.

Skills of the managers include i/ conceptual skill

ii/ Interpersonal /human skill

iii/ Technical skill

iv/ Diagnostic skill

Communication is very important for the manager:

- It links the different functions of management through effective and efficiency way
- It links the organization's units horizontally and vertically
- It links the organization with the external environment

6.2.2.3Types of Communication

1. Based on the media used

   a) Verbal Communication: it uses words in the process of communication.

   * Written

   * Oral

   b) None Verbal Communication: it is a communication without the use of word.

   * Symbols

   * Gestures, etc

2. **Based on Organizational Relationships (channels)**

i. Formal Communication

It is a communication, which takes place through the formal channel of the organizational hierarchy. It implies the flow of information along the lines of authority formally established in the organization. The channels include:

a) Downward Communication → Messages from higher authority levels to lower levels

b) Upward Communication → Messages from subordinates to supervisors and to

Higher levels.

c) Horizontal Communication ⟶ That flows between persons/departments of equal status in the organization

d) Vertical Communication ⟶ may be downward or up ward communication.

Transmission of message is made as per the procedures specifically set up for the purpose in the organization .But this channel has a problem of

1. Creating bottleneck in the speed of the information
2. Due to several level in the hierarchy much of the information is lost or distorted.
3. It can be distorted by "protective screening '' a subordinate is likely to report the information which is favorable to him.

ii. Informal Communication

It does not follow lines of authority. It has no procedural basis. It is often associated with the expression of gesture, smile, node, glance etc, without any formality. It is not official or authoritative.

Informal Communication is also known as GRAPEVINE distribution of information. Through the Grapevine dissemination is fast, but it suffers from series of distortion of original facts. It can be considered as beneficial safety value capable of carrying important information. It can be also considered as destructive focusing on its capacity to spread rumors, destroy moral, misinform others.

Barriers of Effective Communication

1. Physical barriers: It is an external factor, which interferes with the communication and blocking a part of the message. (Such as, poor Timing, improper channel, in proper or in adequate information, physical distortion. Like walk-in-visitors during Telephone call or face-to-face communication, etc)

2. Language differences

3. Using jargons/technical words related to a specific field/

4. Inconsistent verbal and Non verbal communication

5. Information Overload

6. Semitic Barriers, which occur due to difference in individual interpretation of words or symbols

7. Feedback Barriers: the receiver may not return a feed back to the sender

8. Cultural Barriers: Different people may define the message according to their culture.

9. Perception: differences in perception of the message between the sender and the receiver, which creates misunderstanding.
10. Sender/source Credibility: - the information sent has to have high credibility in the eyes of the receiver; otherwise it becomes barrier because of distrust.

For effective Communication the following steps must be taken: -

- Feedback and upward communication reduce misunderstanding of communication
- Improvement of listening skills
  - Requires full attention\
  - The language used tone of voice; expression and emotions should receive proper attention.
  - Ask, clarification
  - Don't prejudge value, the importance of message due to your previous knowledge and experience
  - Don't jump to conclusion before the message is over
- Developing writing skills.
- Avoiding credibility gaps-openness and an atmosphere of trust builds good relationship and close the gaps.

6.2.3 Motivation

Motivation refers to the forces to a person that arouse desire. Motivation means stimulating people through different ways, for example by providing reward. The study of motivation helps managers to understand what derives people to initiate an action, what influence their choice of action and what are the persisting action overtime. People have needs that translate in to an internal tension that motivate the specific behavior to fulfill the need. Reward is a means of motivating other or satisfying the needs of others. To the extent the behavior is successful (rewarded) the need is satisfied.

The reward informs the person that the behavior was appropriate and can be used again in the future. The ultimate objective (motive) of any individuals is a reward. Every behavior is directed towards a reward. Reward can be intrinsic or extrinsic.

Intrinsic reward: - is the satisfaction of a person gets as a result of success.

Extrinsic reward: is the reward given by another (outsider) for the success (good Performance). E.g. Promotion

Management is the art of getting things done by others. Getting work done is a difficult task. It is related to human behavior. The success of any organization depends up on the behavior

and interest of the employees. The organizational goals are achieved through the right direction of human behavior in a desired manner. Before guiding or directing the employees, the reasons for such behavior should be identified. The management can strategically motivate the employee based on such reasons.

Definitions

Different scholars define motivation differently. Some of the definitions are:

Robert Dubin defines motivation as the complex of forces. Koontz and Donnel define as motivation is a general term applying to the entire class of drives, desires, needs, wishes and similar forces that induce an individual or group of people to work.

Enduir B. Flippo says motivation is a process of attempting to influence others to do your will through the possibility of gain reward. J. Jucious defines as motivation is the act of stimulating someone or oneself to get a desired course of action, to push the right button to get the desired action.

When we summarize the above definitions, we can define it as motivation is a decision-making process, through which the individual chooses the desired outcomes and sets in motion the behavior appropriate to them. Or motivation is the force that initiates, guides and maintains goal-oriented behaviors. It is what causes us to take action, whether to grab a snack to reduce hunger or enroll in college to earn a degree. The forces that lie beneath motivation can be biological, social, emotional or cognitive in nature.

How does motivation differ from "motives?"

Buchanan defines motives as:

"Learned influences on human behavior that lead us to pursue particular goals because they are valued".

Motivation can therefore be thought of as the degree to which an individual **wants** and **chooses** to engage in certain behaviors.

For example: are you motivated to study? The answer lies in whether you

(1) Want to study - what are the reasons, if so?

(2) Choose to study? - Why are you reading these revision notes? What factors mean that you have taken the decision to study? How much effort do you put in?

Nature of motivation

Motivation is concerned with the direction of functions of management, so the nature of motivation can be understood from the following points.

- **Unending process:** a social animal (a man) has a number of wants. These wants induce a man to work. All the wants cannot be satisfied at one time. If want is satisfied, then another wants emerges. Thus motivation is unending process.
- **A psychological concepts**: motivation deals with the psychology of workers. An efficient worker will not perform the work desirably well unless he is properly motivated. Effective performance requires proper motivation. Proper motivation is possible only through proper analysis of the psychology of workers.
- **Motivation may be financial or non-financial**

6.2.3.1Theories of Motivation

1. Hierarchy of needs theory (Abraham Maslow 1964)

A humanistic psychologist, teacher and practicing manager-developed a need-based theory of motivation Maslow's theory is now considered central to understanding human motivations and behavior.

In 1943, in an article for psychological Review "A theory of human motivation " Maslow identified and analyzed five basic needs which he believed underlay all human behavior.

These needs relate to:

1. Physiological Needs
2. Security or safety needs
3. Love and social needs
4. Esteem Needs
5. Self-actualization needs

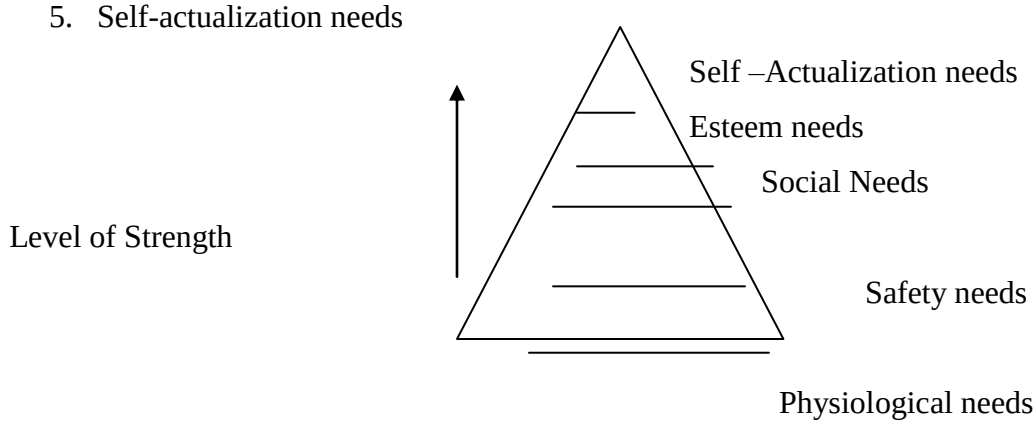


Figure: Abraham Maslow's hierarchy of human needs.

a) Physiological Needs: basic needs such as food, water, clothing, shelter, sleep etc. these are primary needs for sustaining human life itself. Until these needs are satisfied to the extent necessary to sustain life these needs remain the motivating force.

b) Security or safety needs: - these needs include, to be free from physical danger, fear of losing job, property, food, clothing, or shelter. It is a need of securing primary needs.

c) Love and Social needs: - After the needs of the body and security are satisfied then a scene of belonging and acceptance becomes prominent in motivating behavior. These needs are, love, friend ship, social interaction (e.g. Love of Neighbor).

d) Esteem Needs: - this is the need to attain recognition, feeling of self-worth and self-confidence, prestige.

e) Self-actualization needs: this last need is the need to develop fully and realize one's capacities and potentials to the fullest extent possible. At his level the person seeks challenging work assignments, and is creative, independent, etc.

Maslow's theory is based on the following assumptions:

1. Only unsatisfied need can influence behavior, a satisfied need is not a motivator,
2. A person's are arranged in a priority order of importance
3. A Person will at least minimally satisfy each level of need before feeling the need at the next level.
4. If need satisfaction is not maintained at any level, the unsatisfied need will become a priority once again. For example, for a person who is presently feeling social needs, safety will become a priority once again if he or she is fired.

2. The Douglas McGregor Two alternative views about people

In his 1960 publishing - : "The Human side of Enterprise" McGregor explained that all earlier managers operated from one or two basic assumptions about human behavior:

Theory X **and theory Y**

The first theory (theory – X),the traditional view, viewed workers as being lazy, dislike work or avoid it at all and so they should be coerced, controlled and directed or threaten with punishments to put adequate effort in to achievement.

The Second (theory –Y) described people as McGregor thought them to be : responsible, willing to learn and take proper initiatives ,inherently motivated to exercise ingenuity and creativity. They are self controlled, motivated and they should be free.

McGregor told managers that if they give employees a chance to contribute and to take control and responsibility, they would do so.

3. The two factor theory (by Herzberg)

This theory suggested that factors that are associated with dissatisfaction are different from those factors, which create satisfaction. These two factors are:

1. Hygiene factors (dissatisfiers)
2. Motivation factors (Motivators/satisfiers)

1. Hygiene factors

These factors avoid dissatisfaction if they exist sufficiently. If they are absent they create dissatisfaction. This indicated that the existence of hygiene factors don't bring satisfaction, but prevent dissatisfaction and maintain statuesque. The absence if these factors leads to dissatisfaction. They don't motivate people. They simply prevent dissatisfaction and maintain statuesque. They produce no growth but prevent loss. The hygiene factors include: Money, Working condition, supervision, company police and administration, status, interpersonal Relationship, security etc.

2. Motivators (Motivating factors)

These are factors that bring satisfaction, if they exist. If they are absent there will not be satisfaction, and also in dissatisfaction .i.e there absence doesn't lead to dissatisfaction. These factors are related to the nature of work itself and are intrinsic to the job itself.

These are - Work it self, possibility if growth, recognition, responsibility, advancement achievement etc.

Hygiene factors (dissatisfiers)	Motivation factors (satisfiers)
Exist : - no dissatisfaction	- satisfaction motivation
Absent : - dissatisfaction	- no satisfaction (no dissatisfaction)

The roles of managers in this case are :

- Providing hygiene factors to prevent dissatisfaction
- Providing motivation factors to bring satisfaction (motivation)

4) Vroom's Expectancy Model

According to this model, Motivation is strongly determined by an individual's perception/expectation that a certain type of behavior will lead to ascertain type of out come and his personal preference for that type of outcome.

CHAPTER SEVEN
THE CONTROLLING FUNCTION

7.1 MEANING OF CONTROLLING

Managerial planning results in the framing of objectives and lying down of targets. To achieve the objectives, a proper organizational structure is designed; people are assigned the various tasks; and are directed to perform their respective jobs. The actual performance is then assessed from time to time to ensure that what is achieved is in conformity with the plans and targets. This exactly is the controlling function. Thus, controlling as a function of management refers to the evaluation of actual performance of work against planned or standard performance and taking the corrective action, if necessary.

According to Henri Fayol, "Control consists in verifying whether everything occurs in conformity with the plan adopted, the instructions issued and principles established."

According to Brech, "Control is checking current performance against predetermined standards contained in the plans, with a view to ensure adequate progress and satisfactory performance, and also recording the experience gained from the working of these plans as guide to possible future needs.

Planning and controlling are closely related and depend upon each other. Controlling depends upon planning because planning provides the targets or standards against which actual performance can be compared. Controlling, on the other hand, appraises planning.

It brings out the shortcomings of planning and helps to improve upon the plans. For example, in a factory, 10 workers are required to cut steel sheets into small round pieces. The work plan prescribes that each worker should cut 40 pieces in a day (240 pieces per week).

After a week, the manager finds that, out of 10 workers, 6 were able to cut only 200 pieces each and 4 could cut only 180 pieces each. In order to find out the causes of this deviation he evaluates the physical facilities provided to workers in the work place.

On being satisfied with these conditions, the manager concludes that the target of 240 pieces per week is too high for workers to achieve. Therefore, it should be revised from 240 to 200 pieces per week. Thus, the manager revises the plan because the control exercise indicated that standard he had fixed was unreasonably high and beyond the reach of the workers. It may be noted that in order to exercise effective control, managers should not only have the standards but also see that information on the gaps between actual and standard performance is made available and action taken to rectify the deviations, if any. This is essential because,

without such information, managers will not be able to measure the deviations and, without corrective action, the entire control process would be a meaningless exercise.

You should also make a note that controlling does not simply involve checking the quantity of work done but also includes checking the quality of performance, the time taken and the cost incurred. In the above example, suppose each worker could cut 240 pieces per week but most of the pieces were not of the specified size or there was an excessive wastage of steel sheets. This would result in unnecessary loss to the organization. Hence, the managers have to take steps so that the quality of work is improved and the wastage is reduced.

Thus, controlling involves

i. Knowing the nature, quantum and time frame of the work;
ii. Comparing the performance with the plan;
iii. Analyzing deviation, if any;
iv. Taking corrective steps; and
v. Suggesting revision of plans, if necessary.

7.2 WHY CONTROL IS NEEDED/IMPORTANCE OF CONTROLLING

Controlling is one of the important functions of management. It pinpoints the deviations on the basis of which managers can take corrective steps. If no control is exercised, work may not be done as desired and inefficiencies may remain undetected. For example, suppose there is a workshop in which bookbinding is done. The owner hires five persons and tells them that at least four books should be bound per hour. The workers work for six hours a day. At the end of the day, he calls each of them to assess the work done. The importance of control has considerably increased now-a-days due to several reasons.

Business units have grown in size and include a large variety of operations. There is greater competition in the market among different producers and sellers. Hence, the managers have to maintain and continuously improve the efficiency of operations. For this purpose, regular checking of the work done is required. This may also help in minimizing the cost and wastage. It is also necessary that targets of achievement are raised from time to time and employees duly rewarded for better performance of work. This is possible only through the process of control. Thus, controlling

a) helps in achieving the targets;
b) helps in taking corrective action on time;
c) helps in monitoring and improving employees performance;
d) helps in achieving better coordination;

e) helps in better planning;
f) helps in minimizing errors;
g) facilitates decision making; and
h) Simplifies supervision.

7.3 TYPES OF CONTROL

The control function of management involves measuring performance and then taking corrective action if goals are not being achieved. Controls can make positive contributions to an organization, including motivation, by providing measurements of good performance.
Controlling has been referred to as the terminal management function because it takes place after the other functions have been completed. Controls help evaluate whether the other functions have been carried out properly. The control function is also used to measure the effectiveness of the control system.
Controls can be described by time perspective, by when they are applied, and by whether they are internal or external.

A. The Time Element of Controls

Preventive control takes place prior to the performance of an activity, as when quality standards are established. **Concurrent controls** monitor activities while they are being carried out.
Computerized supervisory systems are usually concurrent controls. **Feedback controls** evaluate an activity after it is carried out, as with a financial statement.

B. External versus Internal Controls

The traditional controls are external, and assume that people must be controlled by external forces. External controls are often effective but may discourage employee commitment. To be effective, internal controls require employee participation and a problem-solving attitude about performance deviations.

7.4 CHARACTERISTICS OF CONTROL

The following are the basic characteristics of control.

1. **Planning is the basis of control:** Control is said to be checking performance as per what has been planned. So planning precedes controlling and sets the standards and targets of performance.
2. **Control is a continuous process**: It is an ongoing and dynamic function of management. It involves a continuous review of performance and is not a one-time exercise. The period of control normally depends upon the nature of work, the amount of work and the policies of management.
3. **Control is all pervasive:** Control is exercised at all levels of management, and is done in every functional area and at each unit or department. Thus, control is all pervasive.
4. **Action is the essence of control:** Control is an action-oriented process. The very purpose of control is defeated if corrective action is not taken for improvement of performance or the revision of plans.

5. **Control is forward looking:** Control is futuristic in nature. It measures current performance and provides guidelines for the corrective action. This ensures future performance as per plans. Thus, it is forward looking.

7.5 PROCESS OF CONTROL

The process of control consists of various steps. These include:

1. Establishment of Standards

Setting standard is the first requirement of control. Standards arise out of plans and provide the basis of comparison. There can be different types of standards, e.g., number of units to be produced per hour, cost of production per unit, permissible quantity of scrap and wastage per day, quality of the products and so on. As far as possible, the standards should be laid down in quantitative terms. A quantitative standard provides a concrete measure and helps in comparison. It is equally important that the standards fixed are realistic and attainable, neither too high nor very low. If these are too high, employees will be discouraged. On the other hand, if these are too low, the organization will operate at a lower efficiency level leading to higher cost.

When standards may not be achieved fully, a range of tolerable deviations should also be fixed. This can be expressed in terms of minimum and maximum limits. Performance within the permissible range may not require any corrective action.

2. Measurement of Performance

When standards are established, the next step is to measure the performance at regular intervals. Measurement is not difficult in case of physical operations, e.g., units produced, cost incurred, time spent, etc., as these can be easily measured. Performance can be measured by observations, inspection and reporting. Generally, at lower levels, a detailed control is exercised at frequent intervals on the basis of observation and inspection. For higher levels of management, reports are prepared at regular intervals. Performance should be measured as early as possible so that if a corrective action is called for it may be taken in time.

3. Comparison of Performance with standards

The next step in the control process is comparison of actual performance against the standards. In case the standards set are well defined and can be measured objectively,
Business Management comparison becomes very simple. But, in case of activities where, it is difficult to develop measurable quantitative standards, the measurement and appraisal of performance becomes difficult.

Comparison of actual and standard performance may lead to three possible outcomes: actual performance may be (a) equal to, (b) more than, or (c) less than the standard. If actual performance is equal to the standard, managers need not take any action but where deviations are noticed, corrective action becomes necessary. The managers should ascertain whether these deviations are within the permissible range or outside it. Corrective action becomes necessary only for deviations which fall outside the permissible range.

4. Detecting the reasons for deviations

Before taking any corrective action, managers should try to ascertain the reasons for the occurrence of deviations. The fault may be that standards fixed were unattainable rather than the subordinate's inefficiency. Again, the deviations might have been caused by the nature of instructions issued by the manager rather than due to the subordinate's mistake.

Hence, it is essential that the reasons, which caused the deviation, be ascertained to determine the appropriate corrective action.

5. Taking corrective action

Once the causes for deviations become known, the next step is to go in for a corrective action which may involve revision of standards, changing the methods of selection and training of workers or providing better motivation. As stated earlier, managers should concentrate only on major deviations. The minor deviations, i.e., deviations within permissible range, should not be a cause of anxiety. The rectification of deviations from the standards should be undertaken promptly so that further losses are avoided.

7.6 GOOD CONTROL SYSTEM/EFFECTIVE CONTROLLING METHODS

In order to ensure that the control system is effective and serves its purpose, it must meet the following requirements.

a) **Simple**: It should be simple and easily understandable.
b) **Clear objectives**: Objectives should be clearly and specifically laid down and expressed in quantitative terms leaving no scope for subjective interpretation.
c) **Appropriate**: It should be appropriate to suit the requirements of the organization. Control system for a manufacturing concern is to be different from that of a trading or service organization.
d) **Flexible:** It should be flexible and responsive to changing requirements of the organization and be adaptable to the new developments.
e) **Forward looking:** The control system should be directed towards future. It should indicate the steps to be taken in future so that the deviations do not continue and reduced to the minimum.
f) **Concentrate on exceptions:** An effective and economical control system must focus attention on factors critical to performance. The significant deviations from the standard, whether positive or negative should be brought to the knowledge of the management. If we try to control every small aspect, the system is likely to create problems rather than ensuring planned performance, and may prove costly. The control techniques are considered efficient if they help in detecting the derivations at an early stage and help in achieving the desired results.